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Table of Contents

24. Who Should Build the Low-Carbon Economy?

by Pedro Ivo Ferraz da Silva

1. The Canary in the AI Coal Mine

Author: Kenneth Rogoff **Published:** Aug 3, 2026 **Link:** View Original

CAMBRIDGE—The AI race between the United States and China is accelerating at a breathtaking pace. Time and again, the US has appeared to pull ahead, only to see China quickly close the gap.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

At the heart of this competition lie two contrasting visions of how AI should be developed and deployed. While US firms largely rely on proprietary technologies to maintain their competitive advantage, China has increasingly embraced open-source AI, making advanced models widely available to developers around the world.

Different strategies notwithstanding, both countries are locked in an arms race which neither side is willing to slow. As speed becomes the overriding priority, safety increasingly takes a back seat, despite the uncomfortably high risk of catastrophic failure arising from the combination of human error and superintelligent AI.

A recent security breach involving OpenAI and Hugging Face has underscored the danger of treating safety as an afterthought. The incident occurred while OpenAI researchers were evaluating the cybersecurity capabilities of two frontier AI models. To identify weaknesses and vulnerabilities that sophisticated hackers might exploit, they temporarily disabled many of the models' normal safeguards.

The experiment was conducted inside a tightly controlled "sandbox." Although the models' behavioral guardrails had been temporarily removed, the sandbox was supposed to prevent them from accessing the open internet, where they could —at least in theory—have caused enormous damage.

Instead, the models treated the sandbox itself as an obstacle. Exploiting a previously unknown flaw in third-party software, they circumvented its restrictions and gained access to the open internet. Did they "go rogue"? Not exactly. After all, they were simply pursuing the objective they had been given: to solve a difficult cybersecurity problem as efficiently as possible.

Although the models likely could have completed the task from within the sealed sandbox, they "inferred" that it would be far easier to infiltrate Hugging Face—which hosts over two million open-source AI models—and, in OpenAI's words, "obtain test solutions directly from Hugging Face's production database." For an AI with advanced hacking capabilities, breaking into another system was child's play. In fact, the breach went undetected for days and apparently spread to a second firm.

From the models' perspective, this was not "cheating," as they had not violated any explicit rule encoded by their developers—they had merely found a more efficient way to achieve their objective. Perhaps most unsettling, one of the models reportedly left behind notes explaining how future AI systems could break out of OpenAI's sandbox more easily.

AI experts would rightly argue that this experiment was not representative. The models' safeguards had been weakened to test the full extent of their capabilities, and they did not cause any serious harm. They did not, for example, break into the systems of the US Federal Reserve or the European Central Bank. Nevertheless, the episode demonstrated how seemingly minor human errors can be amplified by AI, with potentially catastrophic consequences.

The incident is eerily reminiscent of the much-debated (and still-unproven) COVID-19 lab leak theory, which holds that the virus escaped from a laboratory in Wuhan, China, where researchers were allegedly conducting risky "gain of function" research on viruses. In both cases, human error and hubris—not malice—are the ultimate culprits. History offers plenty of similar cautionary tales.

The spread of open-source AI models compounds the problem. With cutting-edge AI tools no longer confined to a handful of leading laboratories, it is only a matter of time before rogue states and terrorist groups attempt to use them to develop biological weapons, novel toxins, or dirty bombs. It is dangerously naive to assume, as many US policymakers appear to do, that such capabilities exist only in Silicon Valley.

But the most immediate danger may be political, not technological. AI already enables malicious actors to create increasingly convincing deepfakes and voter-manipulation campaigns on an unprecedented scale. Left unchecked, these tools could further erode public trust, fuel political polarization, and accelerate social fragmentation.

Rapid AI development could also pave the way to authoritarianism, as periods of social instability often create opportunities for governments to expand their authority in the name of restoring order, combating inequality, or protecting national security. Under President Donald Trump, it can sometimes feel as though the US is already moving in that direction. But a future Democratic administration may prove just as willing to exploit AI in pursuit of its own political goals.

None of this diminishes AI's extraordinary promise. The technology could revolutionize medicine by supercharging research on diseases such as cancer and Alzheimer's, transform food production, and help tackle climate change—and that is only scratching the surface. The question, then, is not whether AI should advance, but how quickly and at what cost.

Here lies the central dilemma: US tech firms' principal argument against regulating AI is that doing so would cause America to lose ground to China. But if China can eventually mimic or steal every major US breakthrough—as it has repeatedly done—a permanent race to build ever more powerful AI is a recipe for disaster. Lasting safety will ultimately require some degree of international cooperation, much as nuclear arms control became indispensable during the Cold War.

While AI raises profound concerns about employment, inequality, and social cohesion, none is more important than safety. The industry's argument that meaningful regulation must be avoided because it would slow innovation or undermine US competitiveness seriously understates the risks of deploying increasingly sophisticated AI systems before we know how to control them.

To be sure, regulators will make mistakes, and some rules may prove overly restrictive. But those errors can be corrected. The consequences of rushing one of the most consequential technologies humanity has ever created without adequate safeguards, by contrast, may not be.

The Hugging Face hack should serve as a stark warning to policymakers in Washington and Beijing. Winning the AI race will matter little if, in the process, we create hazards that no country can contain.

2. The Painful Incompetence of the Indian State

Author: Devesh Kapur **Published:** Aug 3, 2026 **Link:** View Original

WASHINGTON, DC—Recent student-led protests, which forced Indian Prime Minister Narendra Modi's typically unyielding regime to capitulate on key demands, dented Modi's personal aura of power and exposed the limits of his government's ability to curb dissent through heavy-handed repression. But the protests also exposed a broader and more prosaic characteristic of the Indian state: incompetence.

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The catalyst for the protests was a bungled exam process. In India—like in China, Japan, South Korea, and Vietnam—students' futures are decided largely by their performance on one exam. They spend years preparing for these high-stakes tests, which determine whether they gain entrance to one of a limited number of high-quality institutions of higher education or access to coveted government jobs.

Given the scarcity of university places, Indian students who can afford to head to universities abroad increasingly do so: in the last eight years, this figure has tripled, from around 450,000 in 2017 to 1.25 million in 2025. For lower-middle-class youth, however, there are only a few ladders of social mobility, and university entrance exams are invariably the first rung.

As stressful as the exams are, until recently they were conducted reasonably smoothly. Nonetheless, in 2017, the growing number of exams (and students taking them) spurred the government to establish a centralized body, the National Testing Agency, to administer them. There was just one problem: the NTA's capacity was never up to the job. While more than ten million students take entrance exams in thousands of centers, hundreds of cities, and more than a dozen languages each year, the NTA's workforce is just 39 people, with a mere 24 in permanent posts.

The agency apparently believed that it could fill the gaps through outsourcing. But errors proliferated: paper leaks, postponed exams, mistakes in questions, and delays in announcing exam results. Last year, a parliamentary committee noted dryly that the NTA's performance had "not inspired much confidence."

This year, allegations of a leak forced millions to retake a grueling medical entrance exam, and grading discrepancies emerged on a different exam. Against a backdrop of high youth unemployment and a gratuitous insult from a Supreme Court justice, students were outraged. They poured into the streets demanding the education minister's resignation and broader education reform. When heavy-handed tactics failed to quell the movement, the government was forced to offer concessions—an unnerving outcome for Modi's regime.

The problem extends beyond the NTA. India's relatively weak state capacity, which lags significantly behind that of East Asian countries, has long hampered the economy's development. Modi has been promising to address the problem since he came to power in 2014. But while his government's emphasis on centralizing power and strengthening executive control has improved the "hardware" (infrastructure), it has come at the cost of deteriorating "software" (policies and institutions)—crucial for long-term development.

Improving the state's bureaucratic machinery, including by attracting talented people, should have been a no-brainer. But by systematically prioritizing loyalty over competence, Modi's government has inadvertently fostered risk aversion and mediocrity among senior bureaucrats. The fact that the government was caught off-guard by the frustration among India's youth was not just a failure of discernment; it was an inevitable consequence of shutting out non-partisan sources of information.

Making matters worse, key officials are simply too old to grasp the dynamics of our rapidly changing world, let alone adapt to them. What limited policy changes have been undertaken have mostly been responses to external pressure, whether from Donald Trump or the growing threat from China.

Instead, Modi's government has placed the highest priority on advancing narrow ideological objectives. For the Bharatiya Janata Party (BJP)—and its ideological parent, Rashtriya Swayamsevak Sangh—controlling the education ministry is vital to propagate Hindutva (Hindu-nationalist) ideology. It is widely believed that academic appointments, from vice-chancellors to faculty, must have the RSS's blessing.

The Modi government has also throttled other essential levers for strengthening the state's capabilities, from sub-national governments to civil society, mostly due to its deep mistrust and intolerance of anything it cannot control. Without "cooperative federalism," India cannot meet the many pressing challenges it faces, whether in education, energy, or the environment. But under Modi, states have little authority. As a result, not even the issues that directly affect India's political elite—such as severe air pollution in Delhi—get resolved.

Meanwhile, the government muzzles NGOs and think tanks if they dare to question its self-congratulatory messaging. This has impeded efforts to augment the state education system and redress the poor outcomes that have become standard for Indian schoolchildren, jeopardizing their futures and India's development and prosperity. In addition, draconian laws governing foreign funding have undermined the philanthropic efforts of India's well-heeled diaspora.

The Modi government has failed to strengthen even the agencies tasked with implementing its own priorities. In 2020, the government unveiled a forward-looking National Education Policy, aimed at transforming the education system to deliver universal high-quality education. Six years later, nearly two-thirds of staff positions at the country's two principal higher-education regulators are vacant, stymieing progress.

Modi was propelled to power by popular frustration with the Congress-led government's corruption and incompetence. But, 12 years later, his government's record reflects the same pathologies. While the BJP felt untouchable earlier this year, following its unprecedented landslide victory in the West Bengal state elections, India's young people have now offered it a somber reminder that a pendulum swings back at its apogee.

3. The Case for a Pay-Where-You-Play Tax System

Author: Jayati Ghosh **Published:** Aug 3, 2026 **Link:** View Original

NEW DELHI—This week, delegates from around the world will gather in New York to negotiate the proposed United Nations Framework Convention on International Tax Cooperation, a landmark agreement aimed at making global tax cooperation more inclusive and effective. If adopted, the Convention would represent the most consequential overhaul of the global tax system in nearly a century, fundamentally changing how countries tax multinational corporations and, potentially, the world's wealthiest individuals.

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New research by the global union federation Public Services International (PSI) and the Tax Justice Network underscores the urgent need to reform the international tax system. Drawing on publicly available country-by-country reporting data, it estimates that governments could collect an additional $500 billion in corporate tax each year by replacing today's "pay-where-you-say" system with a "pay-where-you-play" approach.

The current system is the product of century-old rules that are no longer fit for purpose. By allowing governments to tax multinational corporations where they declare their profits rather than where they generate them, it rewards companies for shifting taxable income into tax havens before reporting it.

In 2012, the G20 tasked the OECD with aligning where profits are reported with where companies actually operate. That effort failed, and profit shifting has only intensified. According to the PSI/Tax Justice Network report, taxing profits where they are actually earned would increase multinational corporations' tax payments by 24% without requiring any country to raise its corporate tax rate.

The negotiations in New York represent the best opportunity in decades to replace the outdated "pay-where-you-say" model with a "pay-where-you-play" framework that taxes multinational corporations where they employ people and sell goods and services. This reform could make tax havens obsolete overnight and restore governments' ability to tax economic activity taking place within their own borders.

Under such a framework, the largest revenue gains would go to the world's richest economies, but the greatest impact would be felt in the poorest. For many lower-income countries, the additional revenue would amount to several times what they currently collect from multinational corporations. This is consistent with the findings of the annual State of Tax Justice reports: while the largest economies lose the most to corporate tax abuse in absolute terms, lower-income countries suffer the greatest losses relative to the size of their tax bases.

That is not to say that advanced economies would not benefit. The United States, for example, would collect an estimated $35.5 billion in additional tax revenue—enough to increase spending on renewable energy 45-fold and create more than 265,000 jobs. The United Kingdom would receive $16.9 billion, enough to fund its newly introduced cost-of-living measures six times over. EU member states, meanwhile, would collect roughly $65.7 billion annually, enough to quadruple current spending on climate adaptation in agriculture, energy, and transport. Spain and France, both confronting their most devastating wildfire seasons on record, would receive and $4.2 billion and $25.5 billion, respectively.

For the Global South, the gains would be transformative. In a single year, the report estimates, lower-income countries would collect more than the total amount they currently owe the International Monetary Fund in outstanding loans.

So how do we move from today's "pay-where-you-say" system to a genuine "pay-where-you-play" one? Article 5 of the draft UN Tax Convention—the product of two years of negotiations—tries to do just that by allocating taxing rights among countries based on clear, objective factors like sales, employment, and natural resources.

If adopted, the Convention would end the century-old practice of transfer pricing, through which multinationals use internal transactions to shift profits to low- or no-tax jurisdictions with little connection to where they actually do business. Every country except the most aggressive corporate tax havens stands to benefit from such a change, and even those jurisdictions can offset their losses by simply imposing moderate taxes on the profits earned within their borders.

That said, the draft Convention can still be strengthened. The commitment to a "pay-where-you-play" approach must be backed by practical measures, particularly country-by-country reporting (CbCR)—a simple yet powerful transparency tool that requires multinational corporations to report key financial information separately for every jurisdiction in which they operate. Since 2015, large multinationals have been required under OECD rules to provide these reports confidentially to tax authorities. Making them public would subject multinationals to the same accountability standards as smaller domestic businesses.

Strikingly, even private reporting has been shown to increase companies' effective tax rate by around 1.5 percentage points, generating tens of billions of dollars in additional revenue. And where those same reports are made public, the gains are roughly twice as large.

Public reporting would also ensure that all countries benefit equally. At present, reliable access to CbCR remains largely limited to OECD members. Most lower-income countries receive incomplete information, obtain it only after long delays, or have no access to it at all. With the EU and Australia already requiring public CbCR for selected high-risk jurisdictions, there is no justification for denying every other country access to the same data. The UN Convention must therefore establish a global CbCR database.

Lastly, it is worth remembering that democracy itself emerged from the struggle for fair taxation, reflected in the principle of "no taxation without representation." For decades, multinational corporations have been shifting profits out of the countries where they are generated into accounting "nowhere" zones. This has led to widespread economic insecurity, creating fertile ground for billionaire-backed authoritarianism.

The UN Tax Convention offers a different path, asserting that the shops, offices, factories, and workers that generate global profits matter. By restoring the link between where profits are made and where they are taxed, the Convention advances a modern form of taxation with representation and carries forward one of democracy's oldest principles.

As negotiations conclude in New York, delegates must ensure that the UN Tax Convention lays the foundation for a fairer, more transparent international tax system. The alternative is to preserve a tax system that has repeatedly put corporate interests ahead of people and the planet.

4. What a Sino-American G2 Would Mean for Asian Security

Author: Brahma Chellaney **Published:** Aug 3, 2026 **Link:** View Original

TOKYO—Grand foreign-policy strategies rarely disappear overnight. More often, they are dismantled gradually through subtle rhetorical shifts, bureaucratic adjustments, and changing diplomatic priorities. America's Indo-Pacific strategy is no exception.

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A decade ago, then-Japanese Prime Minister Abe Shinzō unveiled the concept of a "free and open" Indo-Pacific. Based on the idea that the Indian and Pacific Oceans form a single strategic theater, he sought to build a coalition of democracies committed to preventing any one power from dominating the region.

The United States subsequently embraced this vision, reviving the Quad coalition and establishing its members—Australia, India, Japan, and the US—as the principal anchors of the regional balance of power. The underlying strategic logic was compelling. Like the alliance system more broadly, the Indo-Pacific coalition would amplify US influence by encouraging middle powers to shoulder greater responsibility for regional stability. Moreover, its multiple centers of power and shared objective would make it inherently resilient.

More recently, however, US President Donald Trump has advanced the idea of a "G2" comprising just the US and China. Unlike the free and open Indo-Pacific vision, which seeks to maintain stability by cultivating a broad network of like-minded partners, the G2 concept assumes that the world's two leading powers should shape the regional and global order through direct negotiations.

The approach elevates bilateral deal-making at the expense of multilateral diplomacy, thereby diminishing the strategic weight of middle powers—and, by extension, US influence. Its durability largely rests on the personal chemistry and shifting calculations of leaders in Washington and Beijing. While Trump seems to be warming up to Chinese President Xi Jinping today, there is no telling what tomorrow will bring. Simply put, the G2 is a highly unstable proposition.

One might be tempted to dismiss this as just another example of Trump's unconventional diplomacy, which often emphasizes bilateral bargaining over coalition-building. But his administration has also systematically deprioritized the Quad, with its latest National Security Strategy making just a single passing mention of the grouping. The US Department of Defense, for its part, has reverted to referring to its principal theater as the "Pacific," instead of the "Indo-Pacific."

Together, these developments suggest that this is no temporary bluff or brief diplomatic glitch. Under Trump, the free and open Indo-Pacific strategy is unraveling.

This carries grave risks for Japan. Over the past decade, Abe's Indo-Pacific vision has anchored Japan's national security strategy, with the goal of ensuring that China does not concentrate its military pressure in East Asia. If the US focuses exclusively on the Western Pacific, Japan would lose its strategic depth and risk finding itself face-to-face with China's maritime might.

None of this is lost on Japanese Prime Minister Sanae Takaichi, who has redoubled her commitment to the vision of a free and open Indo-Pacific. In May, she unveiled an updated Indo-Pacific framework emphasizing regional economic resilience and enhanced security cooperation. Her government has been reinforcing the partnerships that give the strategy practical effect by deepening strategic ties with India and Australia and expanding "minilateral" arrangements, including the Japan-US-Philippines and Japan-US-South Korea trilateral groupings.

In Japan's strategy for preserving Asia's balance of power, India occupies a central position. This was apparent during Takaichi's visit to New Delhi last month, when she and Indian Prime Minister Narendra Modi reaffirmed their commitment to the Indo-Pacific framework and agreed to expand cooperation in areas ranging from AI and critical minerals to defense technology. For Japan, India is not just another strategic partner. With its vast size, formidable military, dynamic economy, and commanding position astride the Indian Ocean, it is the indispensable western pillar of the Indo-Pacific architecture.

India presents China with a two-front dilemma, forcing Chinese military planners to split their attention and resources between the continental and maritime theaters. If China did not have to monitor its long, tense Himalayan frontier with India—where dozens of soldiers died after Chinese land grabs triggered clashes in 2020—and protect critical Indian Ocean trade routes, it would be able to concentrate overwhelming force in the Western Pacific.

By removing the "Indo" from "Indo-Pacific," the Trump administration has exposed its lack of understanding of this critical dynamic. Together with its G2 vision, the shift amounts to an important symbolic and geopolitical victory for China. After all, Chinese leaders have long argued that the Indo-Pacific strategy's real aim was to "contain China" and "make Asia-Pacific countries 'pawns' of US hegemony." They would vastly prefer a Pacific-centric framework in which the US and China negotiate directly, and other regional powers do as they are told.

Whatever the Pentagon names its strategic theater, the geography will not change. China's most important energy and trade lifelines still pass through the Indian Ocean, and the Himalayan frontier still constrains Chinese military planning. Preventing the emergence of a unipolar Asia, therefore, still depends on maintaining a free and open Indo-Pacific, underpinned by a broad coalition of democracies committed to that objective.

Whether the US returns to this framework remains to be seen. Japan, however, has already made its choice.

5. YOUR CHOICES REGARDING COOKIES ON THIS SITE

Author: Brahma Chellaney **Published:** 2026-08-04 **Link:** View Original

The greatest danger posed by AI is not the technology itself, but the race to deploy it before we know how to control it. The recent Hugging Face breach shows how seemingly minor human errors can be amplified by AI, underscoring the risks of treating safety as an afterthought.

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7. The Triumph of India’s Cockroaches

Author: Shashi Tharoor **Published:** Aug 4, 2026 **Link:** View Original

NEW DELHI—For those accustomed to viewing Indian democracy through the prism of grand electoral contests or warnings about institutional erosion, recent weeks have provided a refreshing demonstration of democracy’s resilience. What began as provocative online satire exploded into one of the most remarkable—and successful—youth-led political movements in modern Indian history.

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It started with an insult. In mid-May, during an open court hearing, Supreme Court Chief Justice Surya Kant referred to some unemployed young people as “cockroaches” and “parasites.” Though Kant insists that he was referring only to those who use fake degrees to enter the legal profession, his comment struck a nerve in a country where tens of millions of educated young people have found themselves navigating an economic landscape marred by jobless growth.

Rather than succumbing to despair or quiet indignation, young people offered a satirical response to Kant’s comments. Within 24 hours, the “Cockroach Janta Party”—a play on the name of the ruling Bharatiya Janata Party—was born, with “Voice of the Lazy & Unemployed” as its ironic tagline. Within a few days, the CJP emerged as a social-media juggernaut, amassing over 20 million followers—more than the official accounts of the established political machines, including the BJP.

The joke’s impact lay in the genuine grievances it captured. Despite high unemployment among university graduates, young Indians still view higher education as their only hope for upward social mobility, spending years preparing for hyper-competitive national entrance examinations.

But this year, exam leaks, grading irregularities, and the sudden cancellation of results blighted the process. Some 2.2 million students were forced to retake the grueling medical entrance exam, the National Eligibility cum Entrance Test, owing to leak allegations. Upon learning that their May 3 attempt had been voided, some of these students committed suicide. Such tragedies transformed economic anxiety into moral outrage.

The “cockroach” movement provided an ideal outlet for this fury. Unaffiliated with traditional party structures and supported across ideologically diverse segments of civil society, the movement defied conventional political categorization. By June, it migrated from smartphone screens to the heat of Indian city streets, with tens of thousands of students, civil-service aspirants, and concerned citizens gathering in the capital and across major urban centers to demand education reform.

Once the BJP government realized that it could not simply ignore the "cockroaches," it decided to quash them. While some BJP figures blamed the movement on malicious foreign actors, the authorities blocked CJP-linked social-media accounts, tasked security agencies with monitoring the movement's coordinators, banned public gatherings, established a heavy police presence in Delhi, and shut down the internet in the city center.

But the movement's decentralized nature, combined with the moral clarity of its demands for educational integrity and institutional accountability, rendered these authoritarian tactics futile. Protesters gathered at Delhi's Jantar Mantar, reaching larger numbers than the area could contain, and called for a march to parliament, barely a ten-minute walk away from the locus of the demonstrations.

Having yet to learn its lesson, the government turned to brutality, with police charging the protesters, assaulting many on the streets, and even using water cannons and pellet guns. Nearly 180 people were injured, according to Delhi police. But far from quelling the movement, the government's tactics heightened popular outrage, with protests spreading to many cities and towns.

Eventually, the government recognized its mistake. Unlike past protests—including the demonstrations against the 2019 Citizenship Amendment Act, which affected Indian Muslims, and the 2020–21 protests by farmers—the student protests could not be framed as being narrowly focused on minority rights or sectoral interests. The demographic the "cockroaches" represent constitutes nearly half the electorate, and the majority come from middle-class households, including families that have traditionally voted for the BJP. For the ruling party, alienating this cohort would court electoral disaster.

In a dramatic retreat, the central government opened direct talks with student representatives and pledged to establish expedited judicial mechanisms to punish those involved in exam leaks. It also accepted the resignation of Union Education Minister Dharmendra Pradhan—a step that it had previously insisted was "off the table." For an administration that has spent the last decade cultivating an image of unyielding strength and muscular executive control, the capitulation was notable.

By turning a judge's slur into a badge of honor, India's youth have reminded their leaders that the political establishment, no matter how powerful it becomes, cannot ignore the collective will of the public indefinitely. They have also demonstrated that, while autocratic tactics can undermine institutions and intimidate the political opposition, they are ill-equipped to quell the decentralized, irreverent, and chaotic energy that animates successful youth protest movements.

The message is clear. Democracy is not built only on the institutions that are said to have been hollowed out under BJP rule. It does not reside solely in legislative chambers, courts, or election commissions. Rather, it also depends on the habits of citizens. And India's citizens have shown that their democratic spirit remains irrepressible.

The concessions secured by the cockroach movement amount to more than a triumph for prospective medical students or a brief political headache for the BJP. They reaffirm the bargain that underpins Indian democracy, proving that even after years of centralization and executive dominance, power remains with the people. They are not going away, and nor is Indian democracy.

8. Zombie Monetarism

Author: James K. Galbraith **Published:** Aug 4, 2026 **Link:** View Original

TOWNSHEND, VERMONT—Three prominent economists, Peter Ireland, Stephen Miran, and Nouriel Roubini, have just published a paper intended to influence Kevin Warsh, the new chair of the Federal Reserve who previously studied under Milton Friedman while at Stanford. Miran, a former chair of the White House Council of Economic Advisers and former Fed governor, and his colleagues seek to revive Friedman’s famous doctrine, monetarism, defined loosely as a focus on the money supply, but now dressed up in the grass skirts of a Divisia index.

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As it happens, I am the sole survivor of those involved with monetary oversight at the US House of Representatives Banking Committee from 1975 forward, when monetarism was in full bloom. Ireland, Miran, and Roubini make reference to language I remember well: the 1977 statutory instruction that the Fed “maintain long run growth of the monetary and credit aggregates commensurate with the economy’s long run potential to increase production, so as to promote effectively the goals of maximum employment, stable prices, and moderate long-term interest rates.”

That wonderful phrasing actually goes back to early 1975, and was the work (mainly) of two hard-core monetarists on the House Banking Committee staff. Both were University of Chicago PhDs and disciples of Friedman. Both were also Democrats, and both were named Bob: Weintraub and Auerbach.

I joined the staff shortly after the oversight resolution passed and was the odd person in the trio, a student of the British Keynesian Nicholas Kaldor and the progeny of that famous Friedman adversary, my father, John Kenneth Galbraith.

Our joint objective was to oblige the Fed to report regularly to Congress, and specifically to us. Until then, the Fed was under no mandate to do so, and its procedures were opaque. The core instrument, the federal funds rate, was a secret—the markets had to guess. But money and credit growth could be discussed, so that went into the statute. The Fed could be (and was) asked to report on target ranges for growth of the various aggregates, consistent with its forecast for real (inflation-adjusted) GDP, inflation, and employment.

The money-targeting language was (and is) operationally meaningless. “Commensurate” is not the same as “proportionate,” and “long run” allows for deviation from any stated course. The language simply directs the Fed to pursue a policy to keep production on par with potential, which is exactly what the operative language on employment, prices, and interest rates specifies. But it was crucial as politics, and my monetarist colleagues were satisfied.

There followed another dance, concerning the base for each money and credit target range. The Fed initially wanted to roll the base forward every quarter, folding its misfires into history. That was, of course, ridiculous. Eventually, we specified—and the Fed accepted—an annual process, with a mid-year check-in, which became the “Humphrey-Hawkins” procedure. Regular Fed reports to Congress have continued ever since.

The reporting requirements did not prevent the money-supply numbers from wandering from their target ranges, year after year. They ultimately helped drive home the futility of setting money-growth targets.

Since that era, the Fed has moved (as Ireland, Miran, and Roubini observe) from the brief and violent Paul Volcker period of money targeting, to a vague form of “inflation targeting,” and now to direct control (price-fixing) of short-term interest rates, combined with elaborate public statements. The money supply numbers have fallen into disuse, while the public-facing central bank—a trend-setter for the world—has spawned a cottage industry of semanticists who scrutinize every colon, semi-colon, and comma in the “forward guidance.”

Warsh is right, in my opinion (so, too, Ireland, Miran, and Roubini), to cut back the verbiage, leaving the monetary necromancers temporarily unemployed. As we worked to establish back in 1975, the Fed is a “creature of Congress,” and the responsibility for oversight rests with Congress. The Fed should say less, and Congress should ask more.

Ireland, Miran, and Roubini go further, to endorse a “soft monetarism” in which the growth rates of a money index—the various aggregates weighted by relative degrees of liquidity, Divisia-style—are used to assess inflationary pressures. But there are two difficulties with this. First, as they acknowledge, the link from money to inflation depends on reasonably stable “velocity”—not an easy assumption to defend. If the velocity of money isn’t stable—and it certainly wasn’t during the COVID-19 pandemic or on many other occasions—the “quantity theory” cannot be used to inform policy.

The second problem is one I have dealt with at length in other work. The essential point is that used cars, existing homes, and other capital assets (like stock prices) are not correctly included in the “inflation” measure that Friedman and other quantity theorists put into their equation. The monetarists were concerned with the prices of newly produced goods, not those things that the public already owns and trades back and forth with itself.

But prices of new goods did not rise the way those of used cars and houses did in the “quasi-inflation” of 2021 and 2022. Ireland, Miran, and Roubini are therefore wrong to link the increase in the money supply caused by COVID-19 relief to “inflation” in the theoretically correct sense of that term. How to define and measure inflation properly would be an excellent topic for one of those working groups Warsh has been assembling.

In short, while the Divisia index may help to measure money, velocity is still unstable, and inflation is still mis-measured. So, monetarism, soft or not, will stay dead.

The most doctrinaire monetarist in Congress during the 1970s was another Democrat, Senator William Proxmire, who had obliged the Fed to send regular letters whenever the growth of M1 (the most liquid form of money) was below 2% or above 6%—Friedman’s preferred guideline at the time. Shortly after I left the House Banking Committee in early 1981 to become executive director of the Joint Economic Committee, the Fed’s congressional liaison, Don Winn, stopped by to ask if they could stop sending those letters. I happily agreed. I did not inform Proxmire, who never noticed.

9. Taiwan Needs a New Deterrence Strategy

Author: Todd G. Buchholz **Published:** Aug 4, 2026 **Link:** View Original

SAN DIEGO—As the US-Iran war threatens to ignite a worldwide energy crisis, another hotspot may come to a boil: Taiwan. During a recent visit to Taipei, I didn't need to read Mandarin to spot the lead news story every day: another step in China's campaign to intimidate the island.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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What once would have been deemed a crisis—People's Liberation Army aircraft crossing the Taiwan Strait's median line, PLA vessels and surveillance balloons pressing closer, or Chinese authorities interrogating commercial ship captains—has become a daily ritual. For the Chinese government, this is a victory in itself. Constant gray-zone coercion is designed not only to frighten Taiwan but also to numb the rest of the world, making Taiwanese President Lai Ching-te sound like the tiresome boy who cried dragon.

Meanwhile, Chinese President Xi Jinping's strategists watch Hormuz and study something even more valuable than naval frigates: American decision-making. How quickly does the United States respond to threats and attacks? How much political backlash can President Donald Trump tolerate? And how much economic pain are US allies willing to bear? Every missile fired at Iran provides new information. Iran's mullahs, scoffing at incoming fire and defying conventional political logic, have inadvertently become China's defense research assistants.

But Taiwan is a different case. It's too valuable not to be vulnerable. The country dominates in semiconductors, accounting for 92% of the world's manufacturing capacity for the most advanced chips. If these factories shutter, the tremors will go far beyond Silicon Valley. Modern economies run on semiconductors, much like 19th-century economies depended on coal and whale oil. Without chips from Taiwan, refrigerators would stop cooling, and traffic lights would stop working. We would witness crashes on trading floors and at road intersections.

Decades ago, Kuwait and Saudi Arabia discovered that possessing the world's most valuable commodity was both a blessing and a glaring vulnerability. Oil made these kingdoms indispensable, putting a target on their backs. In 1990, Iraq's Saddam Hussein decided he could not resist trying to steal an entire country. Taiwan faces a similar dilemma, because China knows precisely the prize it seeks.

Reining in China's designs on Taiwan requires a new kind of deterrence. Just as Saudi Arabia is spending trillions of dollars to be known as more than the world's gas station, Taiwan must diversify. The country needs a second crown jewel to become indispensable to the democratic world. As I have recommended to Taiwanese officials, defense software offers the opportunity.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

Future military advantage will depend less on steel than on code: battlefield networking, AI, cybersecurity, logistics, communications, and command-and-control software. While chip fabrication plants can be replicated—Taiwan Semiconductor Manufacturing Company itself is expanding abroad—trusted software ecosystems, engineering talent, institutional knowledge, and decades of collaboration cannot.

Economists call this moving up the value chain. I would also call it moving up the deterrence chain. Taiwanese leaders should call Palmer Luckey of Anduril and Alex Karp of Palantir for advice.

Equally important, Taiwan occupies an unusual position in Asia. Japan and South Korea have spent decades reopening and stitching closed the wounds of occupation. Taiwan is a regional player that neither side resents, making it a trusted intermediary—a rarity in global politics.

Rather than waiting for the US to take the lead, Taiwan should establish a "Committee for the Defense of Freedom." This would be a practical institution devoted to defense technology and coordinated responses to economic coercion, not a formal military alliance requiring years of treaty negotiations, summit communiqués, and group photos in front of fancy hotels.

Eight centuries ago, the Hanseatic League connected independent cities around the Baltic and North Seas to share information and deter piracy. No emperor ordered them together; shared interests united them. Asian democracies need a 21st-century reboot—not to protect merchant ships from pirates, but to protect free societies from blackmail and invasion.

China has built artificial islands one dredge scoop at a time. Taiwan and its democratic partners can build deterrence in a similar fashion: one software platform, one intelligence agreement, one research partnership at a time.

Iran has been a practice test for the US military, and China's leaders have been peering over Trump's shoulder. Taiwan should not wait for the final exam. It should rewrite the syllabus.

10. A New Paradigm for Global Health Financing

Author: Donald P. Kaberuka **Published:** Aug 4, 2026 **Link:** View Original

ABUJA—Global health financing has long reflected good intentions but flawed incentives, with donor countries setting priorities and recipient governments learning to follow them. But this decades-old arrangement is now collapsing, giving us a rare opportunity to transform how we finance health nationally, regionally, and globally.

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More countries are already articulating a vision in which health financing would build on national resources, answer to domestic priorities, and remain accountable to their own citizens. Health would be seen not as a cost but as an investment that drives growth and builds resilience, and the international system would become more closely aligned with national ambitions. Countries would collaborate where interests converge, with everyone recognizing that stronger national capacities ultimately strengthen collective preparedness and global stability.

Those calling for a change do not deny that global health financing has delivered real gains. Development assistance for health grew from $15 billion to $50 billion between 2000 and 2019, and with it came procurement systems, financing mechanisms, and collaborative infrastructure, proving what concerted global health cooperation can achieve. The system saved lives, improved health, and contributed to major development milestones.

But the same arrangements also entrenched dependency and concentrated power, consistently rewarding short-term outputs over long-term capacity. Accountability ran upward to donors, not downward to citizens.

Then came the 2025 disruptions to aid flows, multilateral institutions, and the assumptions underpinning them. What has followed is an overdue reckoning, and with it the question of how to develop something better.

The answer must include three distinct but mutually reinforcing elements. First, domestic financing must be the foundation, not a footnote. Although the process of increasing domestic spending for health will depend on a country’s starting point, all must pursue greater self-reliance. This requires tax reforms, budget prioritization, good governance, and public trust that government spending is delivering real benefits.

Debt relief is also critical. In heavily indebted economies, debt service has become a direct fiscal competitor to health spending, sometimes even exceeding total government allocations to health. Efforts to strengthen domestic financing must go hand in hand with tackling the structural constraints that continue to hinder it, and that requires removing the political obstacles to alleviating the debt burden.

None of this will be achieved in isolation. The scale of the challenge—from expanding fiscal space to rebuilding systems hollowed out by decades of aid dependence—points to the need for greater economic growth. Unlocking private investment and leveraging innovative approaches such as blended finance or debt-for-health swaps will be essential.

Second, official development assistance (ODA) and international financing must continue to provide support from the sidelines. The composition of overall development finance has shifted dramatically over the past decade, with bilateral flows falling by 6% and private creditor flows collapsing by 94% as multilateral finance rose by 124%.

Though it remains an integral part of the picture, ODA is under growing pressure. At an estimated $154 billion in 2026, total ODA is comparable to its 2015 level. Development assistance for health specifically is estimated to have stagnated at around its 2025 level of $38 billion. But even more important than funding cuts is how the remaining resources are used. External financing should fund only what cannot yet be covered domestically, and it should be concentrated where it is truly irreplaceable, namely in fragile settings and the lowest-income countries. Global resources and surge capacity to respond to humanitarian crises will remain necessary.

Nonetheless, most ODA should be strategic, force-multiplying, time-bound, and oriented toward accelerating a transition to national self-reliance. For many institutions and sovereign funders, this implies a radically different approach that cedes power and influence to regional and national institutions. Regional development banks, national public-health agencies, and pooled regional financing mechanisms can catalyze self-sufficiency.

Lastly, as principles of subsidiarity and sovereignty take center stage, the question of how to finance truly global collective public-health efforts comes to the fore. ODA was never designed for this role. It is politically contingent, fiscally unreliable, and poorly suited to financing functions whose value is universal.

Fortunately, middle-income countries' capacity to contribute to the global system has grown markedly, and alternative options do exist. These include various global public investment models, assessed contributions, direct non-ODA budget lines, and solidarity-based levies. The most promising approach is to distribute contributions according to capacity, while moving decisively away from governance models where the ability to pay confers the power to decide. This is a long-term ambition, but one that health and finance leaders must work toward now.

The financing architecture for global health is already being reshaped. What remains to be seen is whether it will happen by design or by default. There is a clear need for a reset, with domestic resources brought to center stage; development assistance playing a strategic, time-bound, and genuinely transitional role; and global functions financed through mechanisms built on common interests and benefits.

Realizing this vision will require complementary action at both the national and international levels. At the national level, governments must recognize the role of citizens' health in long-term development, resilience, and independence, and make the political choice to boost investment accordingly. At the same time, the international community, including sovereign partner countries and regional and global institutions, should move beyond the narrow, aid-based framing that has guided international health cooperation for decades and redirect political attention and non-aid resources toward shared priorities and mutually beneficial outcomes. Only then will global health financing truly reflect the world as it is now.

Additional co-authors include:

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11. Why Wealth Taxes Always Fail

Author: Cristina Enache **Published:** Aug 5, 2026 **Link:** View Original

MADRID—Around the world, wealth taxes have become a major topic of political debate. Proposals for a supranational wealth tax in the European Union, a billionaire tax in California, and the floating of similar measures in New York, France, and Denmark all reflect a growing conviction that extraordinary concentrations of wealth warrant extraordinary responses.

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Yet taxing wealth is hardly a new idea. Such policies have been well tested, and their track record has been disappointing. Among other things, the revenue typically falls short of projections; behavioral responses inevitably erode the tax base; economic costs usually extend beyond the wealthy; and persistent legal challenges add another layer of uncertainty. Wealth inequality may very well be a problem worth addressing, but wealth taxes are not the solution.

Since the 1960s, at least 13 OECD countries have implemented net wealth taxes, and only a handful have kept them in place. Most were abandoned not because of ideological shifts, but because policymakers recognized the consequences. Governments reversed course after discovering that they had unwittingly encouraged capital flight, depressed investment and long-term economic growth, and created high administrative and compliance costs, all while raising relatively little revenue. Today, the few OECD countries that still impose broad net wealth taxes—including Spain, Norway, and Switzerland—collect only modest revenues from them, typically ranging from about 0.2% to just over 1% of GDP.

These outcomes underscore a central tension. Wealth taxes are often politically attractive because they target the ultra-wealthy. Yet, in practice, their tax base is highly mobile and responsive to any changes in policy. As the ultra-wealthy move to avoid the levy, the revenue that policymakers sought to capture slips away. Such taxes can either target a narrow base, which leaves them more susceptible to leakage, or they can raise more revenue by taxing far more people than their political messaging suggests.

France's "Solidarity tax on wealth" ("Impôt de solidarité sur la fortune," or ISF) is instructive here. Before it was replaced with a more targeted real-estate wealth tax in 2018, the ISF generated negligible revenue—less than 0.2% of GDP—despite having undergone decades of refinement. More recent attempts to revive similar levies have likewise fallen short of expectations, in some cases generating only a fraction of projected revenues. High-net-worth individuals, like others, respond to incentives, and wealth taxes encourage them to respond in one way: leave.

Moreover, plenty of other jurisdictions will always be ready to welcome them. When Spain introduced its Solidarity Tax on Large Fortunes, Portugal extended its own tax regime for nonresidents, anticipating that more Spanish taxpayers would be looking for a change of jurisdiction. Likewise, Norway's relatively small (0.1 percentage point) increase in its wealth-tax rate led to a noticeable outflow of wealthy taxpayers, mainly to Switzerland.

In France, estimates suggest that tens of thousands of millionaires left the country between 2000 and 2017, when the ISF was in force, contributing to substantial capital outflows. To justify the policy's repeal, the finance minister at the time, Bruno Le Maire, explained that "It's essential we make these changes if we want to attract more foreign investment"—an implicit acknowledgment of net wealth taxes' negative effects.

A recent Hoover Institution analysis of California's proposed billionaire tax suggests that the state should expect a similar outcome. Once high earners relocate and their income-tax contributions vanish, the policy will result in a negative net fiscal impact—potentially costing the state around $25 billion. In many cases, just the discussion of a wealth tax will drive people and businesses away. As soon as it was announced that a wealth tax would be on the ballot in California, Google co-founders Sergey Brin and Larry Page started moving their holdings out of the Golden State.

Wealth-tax proponents may respond that revenue and growth are beside the point; the real objective is to restore social cohesion and rebuild trust in the political system. But this argument misrepresents the purpose of tax policy and lacks empirical support. There is little evidence that wealth taxes foster political harmony. On the contrary, research by economists like Daniel Waldenström shows that prosperity is built from the bottom up through growth, not by trying to pull the top down.

The evidence also suggests that wealth taxes harm the very demographic groups they are trying to help. Though they are often framed as affecting only the richest households, their economic effects extend much further by reducing capital formation, discouraging entrepreneurship, curtailing wage and employment growth, and ultimately weakening the overall economy. Capital, after all, is a key input in productivity and income growth. When it is taxed heavily, particularly at rates that may exceed actual returns, investment declines. (In some modeled scenarios, combined taxes on capital income and wealth can produce marginal effective tax rates exceeding 100% of real returns.)

A wealth tax is not simply another way to tax income, but rather an extra tax on assets that may produce little or no cash. This distinction matters because, for entrepreneurs and others whose wealth is tied up in illiquid assets, the tax bill can arrive long before the cash does. Such taxpayers are then forced to sell part of a business, property, or investment portfolio merely to satisfy the government's claim. Under such conditions, there is little incentive for new startups to scale up their activities.

Even seemingly low wealth taxes aimed at a small group can distort economic decisions, as in the case of California's proposed one-time 5% tax on billionaires' net worth. This levy may sound simple, but owing to its aggressive design and numerous drafting flaws, the headline rate should be viewed with skepticism.

Consider how the proposal would value corporate founders' stakes. Many tech CEOs hold "super-voting" shares that give them control far beyond their ownership percentage. DoorDash co-founder and CEO Tony Xu, for example, owns 2.6% of the company but controls 57.6% of its voting shares. Under a certain reading of the billionaire-tax proposal, that voting control would produce a $2.62 billion tax liability on an ownership stake worth $2.41 billion. If he had to sell shares to pay the tax, capital-gains taxes could raise the total liability to $4.17 billion—173% of the value of his DoorDash shares. While the drafters disavow this interpretation, it will be up to California voters to decide if the gamble is worth taking.

If they do, legal challenges will follow. Courts have already struck down wealth taxes in several countries where they have been tried. Germany's Federal Constitutional Court invalidated its wealth tax in 1995, and Dutch courts have ruled that aspects of wealth taxation are inconsistent with property-rights protections. In Spain, a long-awaited ruling on the wealth tax remains pending. Although a decision was expected in 2024, the Constitutional Court has yet to rule on whether the current framework, particularly in conjunction with the Solidarity Tax on Large Fortunes, respects core constitutional limits—namely, taxpayers' ability to pay and the prohibition of confiscatory taxation.

Some European policymakers already acknowledge how controversial and politically challenging wealth taxes can be. In October 2025, France's parliament rejected economist Gabriel Zucman's proposal for a 2% annual tax on fortunes above €100 million ($114 million), which would have targeted around 1,800 households in the hope of raising up to €20 billion. Conservative and centrist lawmakers rightly raised concerns that such a policy would trigger capital flight. More recently, Danish Prime Minister Mette Frederiksen scrapped her wealth-tax proposal this May to overcome a key obstacle in negotiations to form a new government.

All saw the writing on the wall. As former UK Chancellor of the Exchequer Denis Healey acknowledged in his memoirs: "We had committed ourselves to a wealth tax; but in five years I found it impossible to draft one which would yield enough revenue to be worth the administrative cost and political hassle."

In the case of the United States, wealth-tax proposals face yet another constraint: interstate mobility. Unlike national governments, states operate within an integrated economic union where individuals can relocate relatively easily. Subnational wealth taxes thus are especially vulnerable to base erosion. Even small outflows of high-income residents can significantly affect both wealth-tax revenues and other tax streams, such as income taxes.

In California, with interstate mobility and several high-profile individuals changing their residency status ahead of the potential implementation of the tax, the proposal has already weakened the state's tax system. Since California relies heavily on a narrow group of top earners for its personal-income-tax base, a wave of departures could erode much of the revenue a billionaire tax is meant to generate. And that is before factoring in the inevitable legal challenges.

California should have learned this lesson from the state of Washington's failed 2023 proposal for a 1% tax on tradable net worths above $250 million. While the state's economists projected that the measure would raise about $3.2 billion per year, 45% of that—$1.44 billion—would have been collected solely from Amazon founder Jeff Bezos. When Bezos relocated Florida, almost half the anticipated revenue vanished overnight.

These dynamics mirror the European experience. For obvious, predictable reasons, high rates applied to a small mobile base have tended to trigger relocation, legal challenges, and an overall negative impact on tax revenue. Thus, where wealth taxes have been tried, they have usually been abandoned. As policymakers in California, New York, France, and elsewhere revisit this old idea, they should heed the lessons of this history.

Policymakers should stop wasting public resources reviving failed ideas, especially ones that are more about political signaling than devising meaningful solutions. They should discard proposals that offer the appearance of concern for the middle class while delivering few real benefits. To restore public confidence in our political and economic system, we should instead focus on fostering growth and expanding opportunity—on building the bottom up, not tearing the top down.

12. Peace With Iran Won't Last Unless It Benefits Ordinary Iranians

Author: Djavad Salehi-Isfahani **Published:** Aug 5, 2026 **Link:** View Original

BLACKSBURG, VIRGINIA—The US-Israeli war against Iran has been marked by miscalculations, starting with the erroneous belief that decapitating the Islamic Republic's leadership would trigger the regime's collapse or force its "unconditional surrender." US President Donald Trump's assumption that Iran is ready to put the war behind it and move on to reconstruction is equally misguided.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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Iran sees its control over the Strait of Hormuz—and the attendant ability to close the waterway—as one of its few remaining deterrents, and therefore as a prerequisite for peace. After two military campaigns, both preceded by diplomatic engagement, Iran's leaders are unwilling to relinquish this source of leverage without credible guarantees that the United States and Israel will not attack again.

But lasting peace requires more than military deterrence. It requires a political and economic settlement whose benefits are broadly shared.

The aftermath of the Iran-Iraq War offers an important lesson. The 1988 ceasefire that ended the eight-year conflict left the regime facing the challenge of justifying the war's enormous sacrifices without the consolation of victory. The political focus thus shifted from the battlefield to the revolution's unfinished domestic agenda.

The ideological divisions laid bare by the ceasefire gradually receded under President Ali Akbar Hashemi Rafsanjani, whose government launched one of the most ambitious development programs in modern Iranian history. At its core was massive public investment in rural infrastructure, which brought roads, electrification, drinking water, schools, and clinics to long-neglected regions.

As a result, millions of Iranians were lifted out of poverty, and the middle class expanded from roughly 30% to 60% of the population (although it has since declined). At the same time, the regime reversed its ban on family planning, using its new rural health network to improve maternal and child health, expand access to contraception, and increase women's educational attainment. By 2000, women had closed the education gap with men.

By making reconstruction synonymous with social justice and national development, Rafsanjani reconciled his economic agenda with the revolutionary aspirations of those who saw the ceasefire with Iraq as an ideological compromise.

Rebuilding the country became the revolution's new mission, preserving the broad coalition that sustained the Islamic Republic during the war.

Today's peace efforts face a tougher challenge, but their political logic is remarkably similar. Mohammad Bagher Ghalibaf, speaker of the Iranian parliament and Iran's chief negotiator in the recent talks with the US, reportedly remarked that those who can rebuild the country "must take over the trench from the launcher boys," echoing Rafsanjani's postwar rhetoric.

Yet reconstruction is no longer viewed as an extension of the revolution's promise of economic justice. For many Iranians, market-oriented reforms, trade, and foreign investment have become associated with rent-seeking rather than shared prosperity. While public investment in roads, clinics, schools, and electrification aligned with the revolutionary ideal of social justice in 1988, no comparable development project today can unite the country's competing political factions.

The Iraq War also left millions of veterans and bereaved families who required long-term support, creating what UCLA's Kevan Harris has called the "martyrs' welfare state." Reconstruction gave wartime institutions a peacetime mission, with many Revolutionary Guard veterans finding productive roles through Khatam al-Anbiya Construction Headquarters, the engineering organization whose expansion Rafsanjani encouraged.

Whether today's leadership can devise an equally compelling political project remains an open question. Over the past three decades, the revolutionary pursuit of social justice has gradually shifted from public investment to income support, with cash transfers ultimately becoming the principal instrument of redistribution. In 2011, when they were first introduced to offset the removal of energy and bread subsidies, these transfers amounted to roughly 28% of median per capita household income. Fears of fueling inflation, however, prevented the government from increasing their nominal value, and by 2025 their real purchasing power dropped to a fraction of its original level.

The severe pressure on living standards caused by tighter US sanctions and the ongoing war has prompted the government to increase these cash transfers. But while they now provide a safety net against hunger, they are a far cry from the transformative reconstruction programs of the post-Iraq War era.

Providing a safety net for ordinary households is as much a political imperative as an economic one. In 2019, President Hassan Rouhani's government raised gasoline prices without offsetting the burden through cash transfers, triggering nationwide protests. After the Joint Comprehensive Plan of Action (JCPOA) entered into force, the government announced plans to purchase 200 aircraft from Boeing and Airbus. For many lower-income Iranians, these episodes reinforced the perception that politicians pursuing diplomacy and market-oriented reforms were more interested in rewarding elites than raising living standards.

Those experiences will inevitably shape how Iranians judge any peace agreement with the US. If the deal is seen as primarily benefiting exporters, investors, and urban professionals while asking lower-income households to shoulder the costs, it is unlikely to win strong public support.

So far, sanctions relief proposals have focused on allowing Iran to export more oil and regain access to frozen foreign assets. While these measures would strengthen the government's finances and help pay for imports, they would do little to generate broad-based employment.

Lifting financial sanctions, by contrast, would do far more to support job creation. By cutting off small and medium-size Iranian firms from global markets, they prevent millions of educated Iranians from taking advantage of a depreciated rial to sell goods and services abroad. With domestic demand weakened by years of sanctions and stagnation, access to foreign markets has become the primary avenue for expanding production.

Enabling Iranian firms to re-enter global markets would therefore increase demand for Iranian labor and boost household incomes through employment rather than transfers. More importantly, it would give millions of Iranians a direct stake in preserving peace.

While Trump would find these sanctions politically difficult to lift, any agreement that does not allow Iranian firms to regain access to international finance and trade will struggle to generate the jobs needed to achieve a sustainable peace. Ultimately, a deal that repeats the mistakes of the JCPOA may prove no more durable than its predecessor.

13. The Right Way to Regulate AI

Author: Gabriela Ramos **Published:** Aug 5, 2026 **Link:** View Original

PARIS—US President Donald Trump's decision to put Treasury Secretary Scott Bessent in charge of implementing his recent executive order on AI oversight marks a significant shift in America's approach to tech governance. Such a change was unlikely to come from the AI industry or sectoral regulators, both of which remain wedded to the familiar narrative that regulation stifles innovation and that the overriding policy priority is to beat China by developing the world's most advanced AI models—including, ultimately, superintelligence.

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While Bessent may share the administration's determination to defeat China, placing the Treasury Department at the center of AI oversight in the United States brings a welcome institutional perspective. Seen through the lenses of national security, cybersecurity, financial stability, and critical infrastructure, AI calls for a very different regulatory philosophy from the hands-off, free-market approach that has defined Trump's AI policy until now.

Bessent's latest proposal is the clearest sign of that shift. According to Bloomberg, the Trump administration could soon create an agency modeled on the Financial Industry Regulatory Authority (FINRA), an industry-funded self-regulatory organization that supervises broker-dealers under a framework authorized by Congress and overseen by the Securities and Exchange Commission.

The good news is that, for the first time, a US administration is seriously considering a dedicated body to protect the public interest by evaluating frontier AI models before they are released. The problem is that the proposed agency is modeled on FINRA, which is governed and funded by the very industry it regulates. It is hardly surprising, then, that Google DeepMind CEO Demis Hassabis has long advocated this approach.

Beyond the obvious conflict of interest, however, this model has a more fundamental flaw: it is not designed to detect systemic risk. That weakness was laid bare during the 2008 global financial crisis, which is estimated to have cost the US economy $22 trillion and prompted the Dodd-Frank reforms, including the creation of the Financial Stability Oversight Council.

A FINRA-style model is ill-suited to AI oversight. Instead, governments should build their own AI expertise, drawing on the public oversight mechanisms introduced after the emergence of generative AI. One such measure was former US President Joe Biden's executive order requiring developers of frontier AI models to share the results of their safety tests with the federal government before release. That same year, UK Prime Minister Rishi Sunak launched the AI Safety Summit, commissioned the inaugural International AI Safety Report, and paved the way for the establishment of the AI Safety Institutes.

Following the unveiling of Anthropic's Mythos—the most powerful frontier model to date—Trump issued his own executive order. But it falls short, leaving pre-release evaluation voluntary. That creates a profound imbalance: today's increasingly powerful AI systems require independent public institutions with the expertise and authority to oversee them, and Trump's executive order provides neither.

The same asymmetry is evident in how governments approach AI risks. They tend to treat AI primarily as a national-security challenge, while devoting far fewer resources to addressing its effects on employment, health care, education, and other aspects of everyday life. Even the European Union's AI Act, despite requiring assessments of such societal risks, places greater emphasis on cybersecurity.

One notable exception is the growing recognition of the risks AI poses to children online, which has led to legislative and judicial action in many countries, including the US. But its broader societal consequences—such as its effects on cognitive development, women's economic opportunities, and privacy—have yet to prompt a coherent strategic response.

These skewed priorities can be traced to the framing of AI development as a geopolitical race. But technological leadership means little if it comes at the expense of workers' health, social resilience, and people's ability to lead meaningful lives. A country that develops the world's most capable AI models while leaving its workforce deskilled and its public discourse polluted by misinformation has not won anything worth winning.

Addressing these societal challenges is not at odds with competitiveness. On the contrary, it is essential to both competitiveness and national security. Ultimately, what determines success in the age of AI is not just the capabilities of a country's frontier models, but also the strength of the institutions that protect its citizens' welfare: schools and universities, health and social care, and an independent judiciary.

Yet those are precisely the institutions struggling to keep pace with technological change. In education and labor markets, the OECD has found that AI's benefits are accruing unevenly, reinforcing existing inequalities: Students who are already advantaged are better positioned to benefit from AI-powered learning, while skilled workers adapt more easily than those with fewer qualifications.

Similar trends can be seen in health care, social welfare, and the justice system. As decision-making is delegated to AI at scale, mistakes become harder to challenge, especially for those least able to do so. An AI-hallucination database maintained by Damien Charlotin of HEC Paris has documented more than 1,800 cases worldwide in which judges identified fabricated AI-generated material, often submitted by self-represented litigants who could not afford legal counsel.

The implications for judicial integrity are far-reaching. Courts depend on the ability to verify facts and evidence, but AI is making that task increasingly difficult, with the burden falling disproportionately on those already at a disadvantage. In July, for example, India's Supreme Court set aside two tribunal rulings based on non-existent case law, warning that reliance on unverified AI-generated precedents "subverts the rule of law."

To be sure, many of AI's societal effects cannot be evaluated before deployment in the same way as cybersecurity risks. But that is all the more reason for continuous public oversight.

Instead of another industry-run agency, what the US and other countries need is the AI equivalent of the Financial Stability Oversight Council: a regulatory body charged with identifying systemic risks to education, health, labor markets, and the judiciary. We have already established such bodies to safeguard financial stability and national security. It is time to do the same for the institutions on which society depends.

14. Aid's Next Chapter

Author: Nancy Qian **Published:** Aug 5, 2026 **Link:** View Original

CHICAGO—Foreign aid is shrinking, but it is not disappearing. Even after the sharpest annual decline on record, OECD donors still provided $174.3 billion in assistance in 2025. This includes $29 billion from the United States, despite the slashing of 83% of US Agency for International Development (USAID) programs by Donald Trump's administration. Moreover, wars, epidemics, displacement, and geopolitical competition will ensure that rich countries continue to spend money abroad, whether for humanitarian reasons or in pursuit of their own interests.

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With the number of ongoing conflicts having reached a record high in 2025, and with 117.8 million people ending the year forcibly displaced, the question is not whether foreign aid will survive, but what sort of aid system will emerge from the current retrenchment. This is a moment not to discard decades of progress in learning how to deliver aid, but to reconsider priorities and demand greater accountability.

Aid has long drawn two basic complaints. The first is that it does not work: either the promised funds never reach the people who need them, or the money arrives but fails to have the intended impact. The second is that aid is spent on the wrong things: even when it works, it may not serve the donor country's interests or align with taxpayers' priorities.

The recent cuts are ostensibly justified by this second argument. Since aid is public money, the argument goes, it should be redirected toward national-security objectives, commercial interests, or other goals that command broad taxpayer support in donor countries. But while such debates are legitimate, poorly managed cuts risk worsening the problems that aid was supposed to address, and just when substantial progress has been made in improving aid delivery.

For most of its history, foreign aid focused on government-to-government transfers. Beginning in the early 2000s, however, the development community paid growing attention to the "last mile" between a donor's disbursements and the person the aid is ultimately meant to help. Just as vaccines do not administer themselves, cash-transfer programs need registries, payment systems, and grievance procedures. Maternal care depends on workers who know which women are pregnant, which families distrust clinics, and which roads vanish in heavy rains.

For aid to work, funding must be converted into actual goods and services for people in remote villages and refugee camps. Focusing on last-mile delivery can increase efficacy and therefore boost the appeal—the soft power—of the donor. But when delivery fails on the last mile, even well-intentioned aid can cause harm.

Food aid is a good example. Aid workers have long warned that without stronger local infrastructure for delivery, food often ends up in the hands of militias instead of hungry families. Research shows that US food aid, despite the humanitarian intent behind it, tends to increase the incidence and duration of civil conflict in recipient locations. The problem arises when logistics, monitoring, and local safeguards are treated as administrative add-ons, rather than as a central element of the intervention.

Through painstaking fieldwork, however, researchers and aid workers have made real progress in understanding how to improve the last-mile delivery of public services. In rural India, child vaccinations rose by 22% when immunization information was directed to villagers who had been identified by their neighbors as effective information spreaders, rather than to people chosen at random. In Uganda, community-health programs performed better when they recruited workers who exhibited strong prosocial motivations. When put on the front lines of public health, such workers conducted more prenatal checks and remained in their jobs longer.

These studies demonstrate that effective aid requires connecting foreign resources to local delivery systems, and building those systems where they do not yet exist. That means recruiting people with local knowledge, training them well, creating organizations with good incentives, and strengthening supply chains.

Last-mile aid matters not only because it vaccinates a child or supports a farmer today, but also because it supports the formation of critical capacities, including cohorts of trained workers, functioning supply chains, reliable information systems, and domestic institutions capable of carrying the work forward after foreign assistance ends. The benefits accrue both to recipient countries and to donor governments seeking durable alliances and greater stability globally or in their own neighborhood.

But delivery capacity takes longer to build than it does to lose. It resides less in buildings and equipment than in people, routines, and relationships. When a community health worker leaves, their replacement may need to rebuild trust from scratch, such as by learning which households need what kinds of attention. When an organization shuts down, its trained staff will scatter. When a data system or supply chain is abandoned, a program may stop functioning even if some funding remains.

That is why cuts or reallocations intended to serve donor interests can make the remaining aid less effective, especially when they are abrupt and poorly planned. Last year’s sweeping USAID cancellations illustrated this perfectly. They left workers unpaid, medicines unavailable, referral systems broken, and local partners stranded. They risked dismantling the monitoring and data systems needed to distinguish effective programs from ineffective ones.

Donors are entitled to change their priorities. But it is in everyone’s interest to preserve the machinery of delivery. Programs that no longer fit a donor’s objectives should be transferred, consolidated, or wound down in an orderly fashion, and not demolished overnight.

Foreign aid is not disappearing, but it remains to be seen whether our hard-won knowledge about effective aid delivery will survive its retrenchment. It would be a tragedy to throw this knowledge away, only to have to rebuild it later at a greater cost. Donor governments therefore face an important choice not between preserving every aid program and abandoning foreign assistance altogether, but between needless destruction and rebuilding the system around what has been learned. It is not too late.

15. Global Tax Reform Is the Key to a Fair AI Economy

Author: Zorka Milin **Published:** Aug 5, 2026 **Link:** View Original

WASHINGTON, DC—AI’s rapid advance and the resulting popular backlash have lent new urgency to an old question: How can we promote equitable economic growth from technological innovation while mitigating the negative social and environmental consequences? Both domestically and globally, the answer starts with corporate tax policy.

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Anxieties about AI have less to do with any philosophical unease than with the societal effects. Financial gains are increasingly concentrated among a handful of firms and their shareholders, while the costs—from job displacement to rising energy prices—are borne by everyone else. In democratic societies, taxation is the primary mechanism for translating private gains into public benefits. When that mechanism breaks down, a backlash is inevitable.

Distributive justice is an equally salient concern at the global level. While the Global North is preoccupied with the significant public pushback against AI, the Global South faces a pressing need to mobilize domestic tax flows from multinational corporations, particularly tech firms, in the wake of drastic aid cuts. These problems stem from the same source: when companies shift profits out of the countries where they are generated to tax havens, that reduces public revenues for all governments.

The digitalization of the global economy has demonstrated the insufficiency of the international tax system. But the need to shatter the status quo has never been clearer. AI has supercharged the trend of taxable value being decoupled from physical corporate presence—long a prerequisite for a country’s right to tax. Training data, compute, and intellectual property can be scattered across many jurisdictions, far from where workers or users are located, fueling debate about where value is created.

US-based multinational tech giants, some of which are poised to win big from the AI revolution, have created a playbook that companies like OpenAI and Anthropic could follow. Because their profits are mostly generated from intangible assets such as software, they can shift them to tax havens, manipulating decades-old norms to pay rock-bottom rates. It is no wonder that so many Big Tech firms have been embroiled in tax controversies.

For example, a 2013 US Senate investigation and a subsequent 2016 European Commission investigation revealed that Apple had shifted a large portion of its billions of dollars in global earnings to its Irish subsidiaries, which then paid a tax rate on Apple’s European profits as low as 0.005%. The uproar culminated in European Union authorities ordering Apple to pay Ireland a staggering €13 billion ($15 billion) in back taxes and sparked a major international tax overhaul at the OECD.

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The inability to tax the profits of digital companies demands nothing less than an overhaul of the international tax system. Policymakers have attempted to arrest the global tax race to the bottom by introducing minimum taxes at both the national and global levels. The United States enacted a corporate alternative minimum tax in 2022, but it has since been diluted. The same is true of the global minimum corporate tax adopted under the OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting, whose planned reallocation of taxing rights from headquarters to market countries has stalled.

Tax-justice groups have criticized the Apple court decision and the OECD reforms for failing to consider developing countries' interests. To create a fairer and more predictable system, African governments have proposed a Framework Convention on International Tax Cooperation under the auspices of the United Nations, with negotiations currently underway in New York.

The world ultimately needs a robust and durable multilateral tax framework (whether at the UN, the OECD, or elsewhere) to capture the value of AI-driven economic activity where it occurs. But a global minimum corporate tax and the reallocation of taxing rights, while both necessary, would not help governments tax AI companies in the near term, as many have yet to turn a taxable profit. That is why a growing number of jurisdictions are looking beyond taxes on net income and introducing digital-service taxes (DSTs) on gross revenues.

More than 20 countries are considering or have already implemented DSTs, prompting threats of retaliatory US tariffs. Moreover, different versions of such taxes are currently in effect or have been proposed in several US states. In all these cases, policymakers recognize that DSTs are a valuable release valve, be it globally or at the subnational level.

While not a long-term substitute for reforming an obsolete global tax system, DSTs are at least a stopgap. They provide proof of concept by normalizing the once-radical idea that taxing rights should align with where users are located, not just where companies choose to incorporate or play accounting games. DSTs may not be the final destination, but they are an important and necessary first step toward a fairer international tax order.

DSTs, like broader multilateral tax reforms, have come under fire from short-sighted politicians and experts who insist on defending the status quo. But these leaders fail to recognize that the status quo is fiscally and politically untenable. This was the case before AI arrived but has come into sharper focus as the technology spreads.

If AI-driven profits are subject to the same asymmetric global tax architecture that has allowed digital activities to be undertaxed, there is a good chance that Big Tech's outsize power will only grow. There is also the risk of resistance to AI hardening into a legitimacy crisis, which means that society may miss out on its potential benefits. Corporate tax policies are the battleground where public trust in this new technology, and our governing institutions, will be won or lost.

16. Fauci's Modern Pillory

Author: Ian Buruma **Published:** Aug 6, 2026 **Link:** View Original

NEW YORK—Anthony Fauci has had a long and distinguished career as an immunologist. But you wouldn't know that from his recent hearing before the US Senate Committee on Homeland Security and Governmental Affairs. Republican senators hurled gratuitous attacks on the former director of the US National Institute of Allergy and Infectious Diseases (1984–2022) and chief medical adviser to the President (2021–22), who was instrumental in the development of HIV/AIDS treatments and led America's response to the COVID-19 pandemic.

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This combative session mainly concerned the origins of the coronavirus. Fauci believes that the virus jumped from animals to humans. But his critics—notably, Republican Senator Rand Paul, a former ophthalmologist—maintain that it leaked from the Wuhan Institute of Virology in China, whose experimental research was partly funded by US National Institutes of Health grants, channeled through an intermediary nonprofit. Each side has accused the other of lying.

Paul, as part of his broader investigation, released a tranche of Fauci's diary entries from this period. They reveal a certain pleasure in being a national celebrity. But that is only human. And since Fauci was dealing with a virus about which little was initially known, he may have given advice that later had to be revised. That is hardly his fault—it is how science works.

Perhaps Fauci was sometimes a little too sure of himself. Maybe he was a bit vain. But nothing can excuse the behavior of Republicans at Fauci's hearing. Paul and others jeered, sneered, and shouted at the 85-year-old doctor. Senator Josh Hawley of Missouri called Fauci "a megalomaniac and a liar" before accusing him of profiting from his public service.

Senator Rick Scott of Florida added his voice to the verbal lynching: "You forced loved ones to die alone, destroyed the federal government's credibility when it comes to public health." And in his final remarks, Paul speculated that Fauci must be wondering "late at night" whether his actions led to "the largest man-made plague in history" and whether "his experiments" caused millions of deaths.

Fauci was well advised not to fall into the trap of making incriminating remarks, so the volley of insults and leading questions was met with the same statement, repeated more than 100 times: "On the advice of counsel, I respectfully decline to answer based upon my rights under the Fifth Amendment to the Constitution." Fauci even invoked his right against self-incrimination when asked the color of his tie.

To be sure, congressional oversight is an essential tool of government, as Fauci acknowledged in his opening statement. But his interlocutors' raw hostility was extraordinary. This was not just political theater; it was a pillory. While Fauci was unwise to write his personal diary on a government computer, holding his private thoughts up for ridicule was an attempt at public humiliation.

This raises the question of why the science behind vaccines, as well as climate change, elicits such a frothing rage among right-wing populists all over the world. There is nothing inherently left-wing about inoculating people against contagious diseases or taking measures to stop heat waves from destroying more lives. True, some people object to vaccines for religious reasons. But perhaps the problem is less about science and more about class.

Populists don't hate science as much as they hate scientists—the people of higher learning who claim to know what is best for us based on their superior knowledge. This is an old issue. Since ancient times, sorcerers, witch doctors, village chiefs, mullahs, rabbis, and priests have reacted strongly when people who sought truth elsewhere challenged their authority. Such ideological clashes have almost always been about authority: who gets the university chairs, prizes, social status, and political power.

Starting in the 19th century, educational attainment increasingly served as a source of status and power, with family background becoming less salient. We were taught to trust the expertise of doctors, professors, and lawyers. Liberal democracies are governed by elected politicians, yet they rely on specialists for advice on issues they know little about. Hence the numerous expert bodies that guide lawmakers in their decision-making. How many politicians, after all, have any proficiency in climate science or disease control?

But now, we live in an age of angry reaction against the authority of experts. US President Donald Trump famously doesn't read. He boasts about trusting his instincts over his intellect. Many people voted for him not in spite of his obvious intellectual deficiencies, but because of them. He hates and distrusts the experts as much as his followers do.

Attacking universities—whose faculty, it must be admitted, have at times behaved with the typical arrogance of privileged elites—fits into this class war. As does the concerted effort to undermine or banish the experts who helped elected officials govern effectively. The MAGA administration's assault on the so-called "deep state" is really an effort to destroy government agencies with vital institutional knowledge and know-how.

Fauci has the misfortune of being today's hated class enemy because he told Americans to wear masks and get jabs during a destructive pandemic, even as Trump was suggesting that people could inject disinfectant into their bodies. That is why Republican senators hauled Fauci in for a hearing. They couldn't wait to pelt him—and, by association, any public-facing expert—with rotten eggs in front of the cameras.

17. Can Progressives Deliver Economic Growth?

Author: Rick McGahey **Published:** Aug 6, 2026 **Link:** View Original

TEMPE—When New York City Mayor Zohran Mamdani named Anthony Shorris and Lina Khan to lead the city's Economic Development Corporation (EDC)—as president and board chair, respectively—he did more than fill two important vacancies in his administration. He also underscored his recognition of a key challenge with which the left has long grappled: how to deliver not only economic redistribution but also economic growth.

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As is customary for the left, Mamdani's winning electoral message focused on the redistribution side of the equation: improving affordability, advocating a rent freeze, providing free use of public buses, establishing municipal grocery stores, pursuing racial equity, delivering universal childcare, and taxing the wealthiest households. Since assuming office at the beginning of this year, he has made notable progress on many of these promises, while strengthening daily governance and the delivery of basic services, reducing bureaucracy, and promoting housing construction.

Mamdani's initial successes are all the more striking because, like other American mayors, he faces structural limits on his policies, including a state government that circumscribes the city's scope of action on taxes and regulation, and a bond market skeptical of redistribution. Moreover, New York City is the center of a fractured metropolitan economic region in which the city drives growth—and covers the costs and problems this process creates—while politically independent suburbs capture much of the wealth.

Compounding the challenge, US President Donald Trump's administration is particularly hostile toward Mamdani, who has become a test case for the kind of people-oriented progressive agenda that Republicans (and many Democrats) decry as incompatible with growth and innovation. But Mamdani is not alone in facing such criticism, nor is this exclusively an American issue. Across Europe, leaders promising economic justice have often struggled to convince the public that they can deliver dynamism.

This has been the case for Germany's Social Democrats, whose redistribution-oriented proposals have been inadequate to prevent their polling numbers from sinking into the single digits in some states. It has also been true for France's left-wing alliance, which largely touts a redistribution-focused program, including a higher minimum wage, price controls, and a wealth tax. In 2024, more voters reported trusting Marine Le Pen's far-right party on the economy than the left-wing alliance or President Emmanuel Macron's centrist alliance.

Spain's leftist governing alliance has seemingly flipped the script, delivering some economic growth. But its approval ratings are falling, partly because of the lack of progress on another key element of the economic-justice agenda: housing affordability.

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These political difficulties point to a fundamental challenge. At a time of historic inequality and inadequate public investment, redistribution is essential; but no jurisdiction can tax and regulate its way to affordability. A growth-enhancing agenda that generates good jobs and productive capacity is also crucial.

Harvard's Dani Rodrik offers a way forward. Under his "productivism" framework, governments build the capacity to create good jobs at scale, not in manufacturing—a sector that evokes much nostalgia, but has limited potential for employment growth—but in services like health care, logistics, hospitality, and child and elder care. This approach is consistent with progressivism, as it "puts less faith in markets" and "is suspicious of large corporations," while emphasizing "production and investment over finance, and revitalizing local communities over globalization."

Elements of this framework are apparent in the EDC's agenda for New York, which includes the use of "city-owned land, financing, and investment" to "create good jobs" and "support small businesses." And Mamdani's selections appear well-suited to implement it. Shorris is a veteran of New York City government—having served as executive director of the Port Authority and first deputy mayor under Bill de Blasio—who is respected by the city's business community.

In contrast, Khan, who chaired the Federal Trade Commission under President Joe Biden, built her reputation on challenging the concentration of corporate power and using government to defend workers, small businesses, and consumers from it. Beyond the EDC, New York's first-ever deputy mayor for economic justice, former Acting Secretary of Labor Julie Su, will defend workers' rights, such as by supporting unionization, promoting worker training, and improving job quality.

But protecting workers and supporting small businesses will not deliver good jobs at scale. Mamdani's administration must also find ways to work with the large firms in the industries that anchor New York City's economy and fund its budget, namely finance, health, logistics, and technology. If Mamdani cannot show progress on this front soon, he will give the left's critics more fuel in the run-up to November's midterm elections.

The experience of Britain's new Labour prime minister, Andy Burnham, shows just how delicate the balancing act will be. As mayor of Greater Manchester, Burnham helped lay the groundwork for that region to become Britain's fastest-growing, including by investing in areas like education and public transport. These efforts were bolstered by the devolution of some spending and decision-making powers to regional authorities.

As prime minister, Burnham has called for more "flexibility" within fiscal rules to finance investments like the "biggest council house-building program since the postwar period," alongside increased defense spending. But the bond market reacted negatively to Burnham's plans, fearing a sharp increase in borrowing. Higher interest rates could constrain Burnham's program and the UK's overall growth potential.

Burnham also wants to take devolution further. Mariana Mazzucato of University College London believes that this can play a powerful role in driving inclusive growth, as long as it is pursued in the context of a national industrial strategy. But the political pressure to deliver quick victories could undercut Burnham's ability to satisfy various stakeholders—voters, the bond market, and businesses considering investment. The same goes for Mamdani.

Nonetheless, Mamdani has shown that he is not afraid to tackle hard problems. Though delivering growth alongside equity might be among the thorniest economic-policy challenges today, his appointment of Shorris and Khan, with their contrasting reputations and experiences, suggests that he understands it. With Mamdani's mayoralty having emerged as a kind of bellwether for progressive politics, the entire Atlantic left should be rooting for him.

18. Colombia's New Right-Wing Government Faces an Uphill Battle

Author: José Antonio Ocampo **Published:** Aug 6, 2026 **Link:** View Original

NEW YORK—This week, Colombia will undergo one of the most consequential political transitions in its recent history as right-wing President-elect Abelardo de la Espriella succeeds left-wing President Gustavo Petro. Like several other Latin American countries that have shifted to the right, Colombia is likely to face deepening polarization, suggesting that a strong opposition, possibly led by Petro himself, will emerge.

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The new administration will inherit a mixed economic legacy. On the social front, multidimensional poverty has continued to decline, a trend that dates back to the 1991 constitution and has been supported by sustained growth in social spending. But these gains reflect improved access to education, health care, public utilities, and housing, rather than meaningful improvements in income. Meanwhile, the rural-urban gap has widened, and the health-care system faces a deep crisis.

Similarly, while unemployment has declined significantly under the Petro administration, much of this improvement appears to reflect the expansion of public-sector employment. Progress could thus be reversed by the necessary fiscal adjustment the new government is expected to undertake. Labor-market informality remains extremely high, affecting nearly half of urban workers and more than four-fifths of those in rural areas.

At the same time, the new administration's 7% growth target seems overly ambitious. A more realistic objective—perhaps around 4%—could be achieved through a recovery in sectors that performed poorly under Petro, such as oil, mining, and construction. Yet the top priority is to stimulate investment, which has hovered around 17% of GDP in recent years, compared with roughly 22% during the 2010s.

Another priority will be sustaining the growth of non-traditional exports, which in Colombia refers to exports other than oil, coal, and coffee. The success of this effort will depend on whether the central bank's recently approved interventions in the foreign-exchange market can slow the peso's sharp appreciation. US President Donald Trump's tariffs are also poised to weigh on export growth, although their effects could be partly offset by economic recovery in Venezuela, formerly Colombia's second-largest trading partner.

Plenty more challenges are clouding the near-term outlook. El Niño could disrupt agricultural production while increasing the risk of electricity rationing. Colombia's heavy reliance on hydroelectric power, limited generation capacity (which expanded only slowly under Petro), and a growing natural-gas shortage leave the country particularly vulnerable. High interest rates, maintained by the central bank to contain rising inflation, could also slow economic activity.

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Looming over all these challenges is the severe fiscal crisis the new government will inherit. Since 2024, fiscal deficits have exceeded 6% of GDP—among the highest in Latin America. Public debt rose above 66% of GDP in 2025, one of the highest levels in Colombia’s history.

Much will depend on the scale of the budget cuts the government actually implements. De la Espriella aims to reduce public spending by roughly 3% of GDP through a “shock plan” that involves eliminating a significant number of public-sector jobs. But this target will be hard to achieve given the limited flexibility of many spending categories and the need for additional funding for health care and other key sectors.

A major tax reform may ultimately prove necessary, although de la Espriella’s team has indicated that it is not an immediate priority. On the positive side, interest rates on both domestic and external public debt have declined since the election, reflecting improved market confidence. Whether this trend continues will hinge on the credibility of the new government’s fiscal policies.

There are, of course, other major concerns. National security was the central issue in de la Espriella’s campaign, and delivering on his pledge to dismantle illegal armed groups may require additional spending. Equally important is rebuilding the public sector’s administrative capacity, particularly in health care, where the erosion has been most severe.

Lastly, there is the question of foreign policy. One of the new government’s first tests will be how closely it aligns itself with the Trump administration. Some of de la Espriella’s proposals, including his plan to limit Colombia’s participation in the United Nations and other multilateral institutions and sever diplomatic ties with Cuba, have already provoked strong domestic opposition. Whether these policies will ultimately be adopted, however, remains to be seen.

Taken together, these challenges leave the incoming administration with a daunting agenda. For Colombia’s rightward shift to bear fruit, the new government will need to restore fiscal stability and boost investment without sacrificing the social gains of the past few decades.

19. Cheaper Mortgages Won't Solve the US Housing Crisis

Author: Ross Levine **Published:** Aug 6, 2026 **Link:** View Original

STANFORD—For half a century, US policymakers have mistaken mortgage policy for housing policy. Rather than making homes more affordable, their efforts to make mortgages cheaper have mostly produced more borrowing.

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That paradox has been at the heart of the biggest housing debate on Capitol Hill in decades. The new bipartisan 21st Century ROAD to Housing Act, enacted on July 11, reflects two competing explanations for why so many families cannot afford to buy a home.

One emphasizes supply: the United States does not build enough homes where people want to live. Zoning restrictions, permitting delays, and a thicket of other regulations make new construction slow, costly, or—in some places—virtually impossible. The other explanation focuses on market-power: large institutional investors have acquired too many single-family homes, outbidding first-time buyers and turning would-be homeowners into tenants.

Both concerns deserve attention. In some communities, corporate landlords have indeed become highly visible buyers whose scale can reshape neighborhoods and rental markets. Congress was right to ask whether families and large investment funds compete on a level playing field.

But the two diagnoses are not interchangeable. Restricting who can buy a house may change who owns it; it does not create another house. Imagine 200 families bidding for 100 homes. Remove several investment funds from the bidding, and some families may have a better chance. But there are still only 100 homes. Unless supply grows, prices will remain under pressure, and another group of well-financed buyers can take their place.

The ROAD to Housing Act quietly recognizes this reality. Its most consequential provisions are not the restrictions on institutional buyers but the measures designed to make building easier by streamlining reviews, encouraging manufactured housing (prefabricated homes that can be mass produced), and rewarding communities that build more homes.

Together, these provisions mark a significant shift. For decades, policymakers assumed that expanding mortgage credit was the path to broader homeownership. The historical record suggests otherwise. Through Fannie Mae, Freddie Mac, and other federal programs, mortgage credit has become abundant, standardized, and widely available, even during financial crises. Yet the homeownership rate remains close to where it stood in the late 1970s. What has risen instead are house prices and mortgage balances.

In a new study, we examine five decades of data and research and find a remarkably consistent pattern: expanding mortgage credit increases borrowing and drives up house prices far more than it boosts homeownership. The effects are most pronounced where zoning and permitting prevent builders from responding to higher demand by building more homes.

The reason is simple. Give every bidder a larger line of credit while constraining the number of homes, and much of the subsidy goes to the seller. As a result, the federal subsidy becomes embedded in the price of the land, leaving buyers with cheaper mortgages but more expensive homes.

None of this means the federal mortgage system has no value. Fannie and Freddie provide liquidity, support a national market for 30-year fixed-rate mortgages, and keep credit flowing when private markets seize up. Those are important public benefits. The mistake is to confuse a well-functioning mortgage market with an affordable housing market. One determines how homes are financed, while the other depends on how many homes are built, where they are built, and what they cost.

That distinction matters because American housing policy is now pulling in opposite directions. While Congress has begun to recognize affordability as a supply issue, mortgage policy continues to treat it as a demand problem.

US President Donald Trump’s directive ordering Fannie and Freddie to purchase an additional $200 billion of mortgage-backed securities is a case in point. Lower mortgage rates may reduce monthly payments, but in supply-constrained markets they also drive up house prices. In other words, buyers borrow more without reducing the cost of buying a home.

The same logic applies to proposals to privatize Fannie and Freddie. Returning them to private ownership would make sense only if the federal government first defines the scope of its guarantee, requires the companies to hold enough private capital to absorb losses before taxpayers do, and establishes who will control them once they are privately owned. Otherwise, privatization would amount to little more than the old arrangement under a new label: shareholders collect the gains, politicians direct the companies, and taxpayers absorb the losses when the market turns. That was not a genuinely private market before 2008, and relisting Fannie and Freddie would not make it one now.

The debate over institutional investors therefore risks becoming a distraction. It offers a visible villain while diverting attention from the harder task of reforming a system that has subsidized nearly every bidder for decades, even as local governments limited the supply of homes.

Encouragingly, Congress has begun to address that imbalance. The new law combines competing policy priorities because building a bipartisan coalition required both: Democrats wanted greater protection for families and tenants, while Republicans wanted regulatory relief, community-bank provisions, and fewer barriers to construction. The compromise may endure precisely because neither side got to define the crisis on its own.

The underlying economics, however, remain unchanged. Market power can worsen outcomes in particular places, but only a larger housing supply can make homes more affordable and spare families from ever more expensive bidding wars.

For decades, American policymakers have focused on helping families buy the homes the country already has. Finally, they are beginning to focus on building the homes American families need. The logical next step is not another housing program but greater restraint in mortgage policy. Subsidizing every bidder while restricting construction cannot make housing more affordable—it simply changes who gets the keys.

20. Democracy, Autocracy, or Something Else?

Author: Helmut K. Anheier **Published:** Aug 7, 2026 **Link:** View Original

BERLIN—This year has been marked by striking political upheavals. For supporters of liberal democracy, the most encouraging news came in April, when Hungarian voters brought an end to former Prime Minister Viktor Orbán's 16-year project of building an authoritarian model that he dubbed "illiberal democracy." Defying the odds and the Fidesz party's manipulation of public and private media, Hungarians handed Péter Magyar's Tisza party a landslide victory, making him prime minister.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

Orbán had turned Hungary into a model for aspiring autocrats across the European Union and the West. Although Hungary was not the first European country to reject authoritarian populism—Poland did so in 2023 by voting the Law and Justice (PiS) party out of power—Orbán's defeat showed that even Europe's most entrenched illiberal regime could be voted out of office.

A month later, however, the summit between US President Donald Trump and Chinese President Xi Jinping offered a starkly different vision of global politics. At its core was what Chinese officials called a "constructive China-US relationship of strategic stability," based on pragmatic cooperation on trade, agriculture, and energy.

During the summit, Xi reportedly urged Trump to avoid the so-called Thucydides Trap—conflict resulting from an incumbent hegemon's fear of a rising challenger—and work together more closely. Viewed alongside Xi's continued consolidation of power and Trump's increasingly autocratic agenda, the meeting raised the prospect of a new authoritarian era, driven not by rogue states like Russia but by the world's two superpowers.

Which of these developments will define the future of global politics? The answer is far from clear. But the contrast between them reflects a deeper tension between two competing governance models identified by the 2026 Berggruen Governance Index (BGI).

In its fourth edition, the BGI assesses governance across 145 countries between 2000 and 2023. Rather than reducing governance to a single indicator, the index focuses on three interconnected dimensions: government quality (state capacity), democratic quality (accountability), and quality of life (the provision of public goods). Together, these form what the BGI calls the "Governance Triangle."

Crucially, the BGI's headline findings paint a more complex picture than familiar narratives of governance resurgence, consolidation, or decline would suggest. It shows that, rather than converging toward a single model, countries consistently cluster into four distinct "governance worlds."

These classifications represent recurring empirical patterns. Year after year, the statistical analysis identifies the same four groups, with remarkably little movement between them. Between 2000 and 2023, more than 80% of countries remained in the same governance world.

This stability is striking given the shocks of the past quarter-century: the 2008 global financial crisis, the COVID-19 pandemic, numerous wars and civil conflicts, and the prospect of a democratic recession. Yet despite these upheavals, the BGI finds that the underlying patterns of domestic governance have been far more resilient than news headlines imply.

What are governance worlds, and what distinguishes them? The first comprises 39 consolidated democratic states that score highly across all three dimensions of governance. Most of Western Europe—along with the United States, Japan, South Korea, Uruguay, and Costa Rica—belongs to this group. While many of these countries struggle with policy inertia and political dysfunction, they remain better equipped to absorb shocks and adapt to future challenges.

Next are the capacity-constrained states, a group of 45 countries with reasonably strong democratic accountability and governments that struggle to deliver a high quality of life. India, Indonesia, the Philippines, and much of Latin America fall into this category. Although these countries are more vulnerable, they can still advance if democratic institutions and state capacity develop together over time. Otherwise, they risk becoming trapped in a vicious cycle in which weaknesses in one dimension erase gains in another.

The third group encompasses 29 authoritarian and hybrid states, including China, Russia, the Gulf countries, Belarus, and Vietnam. Their quality of life is comparable to that of capacity-constrained democracies, albeit with far less democratic accountability. Pervasive corruption, however, continues to undermine state capacity, casting doubt on the long-term sustainability of these gains.

Lastly, the BGI identifies 32 low-capacity developing states, including Haiti, Pakistan, Papua New Guinea, and much of Sub-Saharan Africa. These countries rank lowest across every dimension of governance. They are not only the most exposed to future crises but also the least equipped to respond, lacking the necessary institutional resilience.

Taken together, the BGI's findings suggest that these four groups will drift further apart in their ability to confront future crises. Consolidated democracies, at least in principle, will be able to respond to climate change, pandemics, and economic upheaval. Most other countries will struggle or fail to meet the same challenges.

The past quarter-century offers little reason to think otherwise. During that period, only one country, Jamaica, joined the consolidated democratic world, while five left it: Argentina, Botswana, Hungary, Poland, and Hong Kong. The BGI finds that it is far harder to enter this group than to leave. By contrast, once countries enter the authoritarian and hybrid group, they are much less likely to escape.

In other words, the world is not converging on liberal democracy, as the "end of history" optimists of the post-Cold War era assumed. Nor is it being swept by an authoritarian tide. Instead, the defining feature of global governance today is stasis.

Hungary stands out as one of the few countries to move between governance worlds by sliding backward, though the BGI data end in 2023 and therefore do not capture the likely democratizing effects of Magyar's election victory.

In 2000, Hungary firmly belonged to the group of consolidated democratic states. Its democratic-accountability score stood at 85 (on a scale of 0–100), reflecting the hard-won gains of its post-communist transition. By 2023, however, that score had fallen to 60. The 25-point decline reflected Orbán's systematic dismantling of institutional checks, contributing to a 28-point drop in Hungary's media and civil-society score and an 18-point fall in state capacity.

The country's democratic backsliding quickly became an international reference point, inspiring populist authoritarians around the world and encouraging neighboring countries like Slovakia to follow a similar path. Yet even as its institutions weakened, Hungarians' quality of life remained largely intact, sustained by debt-financed public spending and substantial EU subsidies. This illustrates one of the BGI's main findings: high-quality public goods do not necessarily require sound democratic governance.

Hungary's experience also demonstrates that democratic backsliding is not irreversible. While democracy is neither resurgent nor inevitably self-correcting, the world is not moving inexorably toward less political freedom and accountability.

China provides a powerful counterexample. Its democratic-accountability score fell from an already low 29 in 2000 to just 17 in 2023. Institutional, electoral, and societal accountability all weakened, and restrictions on civil society intensified. Despite its reputation for administrative efficiency, its state capacity stood at just 45 in 2023, below the global average of 49. Meanwhile, its public-goods score rose from 61 to 77, driven by massive public investment that lifted its infrastructure score from 73 to 97.

China thus achieved substantial improvements in living standards while suppressing democratic freedoms and without exceptional state capacity. Decades of export-led growth and rapid industrialization generated the resources needed to invest heavily in infrastructure, education, and other public goods. Rising living standards, in turn, strengthened the political legitimacy of one-party rule.

But the authoritarian bargain is a worse bet than its apparent successes suggest. Autocratic stability is a myth; authoritarian and hybrid countries suffer from deep structural weaknesses. Among the four governance worlds, only the low-capacity developing states are more fragile and less peaceful.

Autocracy often fails to produce stable or resilient states. Countries in this cluster are the highest per-capita carbon emitters, even as the global economy shifts toward decarbonization. They also have the lowest levels of female political empowerment, leaving much of their human potential untapped. Compounding these weaknesses, many remain heavily dependent on resource rents instead of building knowledge-intensive industries.

While some authoritarian and hybrid states have become much more effective at providing public goods, only Singapore has translated those advances into broader governance improvements. By contrast, eight of the ten countries with the largest declines in governance performance since 2000 belong to this cluster.

Nor has the authoritarian world expanded much, despite repeated predictions that it would. And the few countries that have joined it were not fully democratic to begin with. This may be because many governments recognize the authoritarian model's inherent weaknesses. It often buys today's public goods by mortgaging tomorrow's capacity, relying on state-directed investment rather than broad-based, inclusive institutions.

In fact, the impressive development gains achieved by authoritarian countries were possible precisely because they removed many of the institutional constraints—independent courts, a free press, and a vibrant civil society—that can slow decision-making but also enable sustained governance improvements. What may look like an impediment to rapid growth is often the very system of democratic checks and balances that enables societies to learn from and correct their mistakes.

China is a case in point. Its stability, much like Russia's before 2022, ultimately depends on sustained economic growth. If that growth falters, the regime will increasingly have to rely on repression, a strategy that seldom produces enduring stability.

Trump's second term demonstrates how profoundly a country can change without leaving its governance world. US democratic accountability stood at 91 in 2000 and peaked at 96 in 2013, midway through Barack Obama's presidency. Yet early hopes of institutional renewal soon gave way to partisan gridlock and self-imposed fiscal constraints.

Trump's first election in 2016 accelerated that decline. Democratic accountability fell to 85 by 2020 as electoral integrity and societal accountability weakened amid intense political polarization during his first term. Under Joe Biden, the score recovered modestly to 89, but Trump's second presidency is likely to reverse those gains once new data become available. The Supreme Court’s recent decision to roll back key provisions of the Voting Rights Act, together with earlier rulings that have expanded presidential power by overturning long-standing precedents, suggests that democratic accountability will deteriorate further.

The decline in state capacity is even more striking. Beginning at 80 in 2000, America’s score fell to 67 by 2019 before rising to 74 in 2023, still well below many advanced democracies in Western Europe. That decline largely reflects years of underinvestment in core government functions which steadily weakened the authorities’ ability to coordinate policy and deliver public services.

Early evidence suggests that the deterioration has accelerated under Trump’s second administration. Most notably, the Department of Government Efficiency (DOGE), initially led by Elon Musk, slashed funding for public health and scientific research and rolled back numerous environmental rules. At the same time, Trump has systematically dismantled institutional constraints on executive power, securing virtual immunity from the Internal Revenue Service for himself, his family, and the Trump Organization.

As in many other countries, America’s public-goods score proved more resilient, rising from 87 to 90. One reason is that the private sector plays a much larger role in providing health care, education, and other services than it does in most other advanced democracies, making their performance less dependent on the federal government. American science also continues to lead the world, despite Trump’s repeated attempts to starve it of federal funding. But that resilience is financed by public debt of about 120% of GDP, a burden that Trump’s tax cuts and deficit spending will almost certainly deepen.

But rich democracies rarely collapse overnight. Their nemesis is complacency, which sustains policy neglect until the damage to institutions becomes impossible to ignore. Although the transformation of the federal government under Trump has been rapid and dramatic, it builds on a long decline in state capacity and democratic accountability that the BGI identified years ago, when it described the US as a “falling star.”

The US is hardly alone. Germany, for example, underinvested in infrastructure during Angela Merkel’s 16-year chancellorship, leaving the country ill-prepared for the geopolitical and economic shocks of the pandemic, Russia’s invasion of Ukraine, and intensifying competition from China’s manufacturing sector. The United Kingdom, meanwhile, is paying the price for years of austerity, widening regional inequalities, and Brexit. Although each country’s circumstances are distinct, the underlying pattern is strikingly similar: complacency and policy neglect erode governance long before a crisis forces a reckoning.

The absence of a global democratic or authoritarian wave does not mean governance has stood still. The four governance worlds may be remarkably sticky, but they are not frozen.

To be sure, the consolidated democratic world has proved extraordinarily difficult to enter. As Jamaica’s experience shows, entry requires bold institutional reforms and painstaking efforts to restore fiscal stability. At the other end of the spectrum, no country has slipped into the low-capacity developing cluster, suggesting that falling to the bottom of the governance hierarchy is almost as rare as rising to the top.

Most transitions occurred between the capacity-constrained and the authoritarian and hybrid clusters. Between 2000 and 2023, six countries—El Salvador, Iran, Nicaragua, Russia, Turkey, and Venezuela—crossed from the former to the latter, while four moved in the opposite direction: Iraq, Kyrgyzstan, Malaysia, and Tunisia.

These two groups are home to much of the world’s population. Capacity-constrained countries like Brazil, India, Indonesia, Mexico, and South Africa vary widely in terms of history, institutions, and development trajectories, but they face the same structural constraint: they lack the state capacity needed to translate relatively high levels of democratic accountability into effective governance. As a result, their citizens have a lower quality of life than their institutions would be expected to deliver.

When democratic governments consistently fail to improve people’s lives, authoritarianism becomes more appealing. Russia, Turkey, and Venezuela are prime examples: each entered the 21st century with meaningful, if imperfect, democratic accountability before gradually abandoning it.

But that authoritarian bargain has largely failed. Capacity-constrained countries that shifted into the authoritarian and hybrid group achieved only modest improvements in quality of life while sacrificing democratic accountability and, over time, state capacity itself.

The middle of the governance spectrum is also where democratic self-correction is most likely. Brazil’s recent political history helps explain why. The country entered the 2010s with a relatively strong democratic-accountability score of 92, up from 88 in 2000. But the Operation Car Wash corruption scandal shattered public trust and propelled the far-right Jair Bolsonaro to victory in the 2018 presidential election.

Bolsonaro’s presidency dealt a severe blow to Brazilian governance. Democratic accountability fell sharply, with the country’s score dropping to 77 by 2019 as checks and balances came under strain. Environmental standards were also rolled back, driving the environmental public-goods score down to 51 in 2020.

President Luiz Inácio Lula da Silva’s return to office in 2023 reversed both trends. Democratic accountability recovered to 84, and the environmental public-goods score reached new highs. While Brazil remains in the capacity-constrained world, its experience shows that democratic decline is not a one-way street. Populations are not always willing to accept a slide toward authoritarianism. When the authoritarian bargain fails to deliver, they can choose to restore accountability and move back toward the consolidated democratic world.

The BGI offers another reason for cautious optimism: a handful of “balanced governance performers” (BGPs) improved simultaneously on all three measures represented by the Governance Triangle. This group includes three capacity-constrained states (Armenia, Moldova, and Malaysia) and three low-capacity developing states (The Gambia, Angola, and Sierra Leone).

What sets these six countries apart is not the extent of their gains but the order in which they occurred. Among the capacity-constrained BGPs, democratic accountability increased by 11–16 points between 2000 and 2023, and state capacity rose by 11–17 points. Public-goods provision lagged behind, increasing by just 4–7 points.

Although they started below the average of their respective clusters, these balanced performers were able to break away from their peers, especially after 2015. They did so by strengthening democratic accountability and state capacity first, building the institutional foundations for lasting improvements in quality of life.

The BGI’s most important insight is that countries tend to improve their governance in one of two ways. The first is the “grand bargain”: a moment of political rupture in which threatened elites surrender their monopoly on power in exchange for a stake in a new order.

Armenia’s 2018 Velvet Revolution is the clearest example. Its democratic-accountability score, which stood at 53 as recently as 2015, rose to 80 by 2020. The Gambia’s 2016 democratic transition followed a similar pattern, with most of its 35-point increase in democratic accountability occurring after the ouster of former President Yahya Jammeh. The late Nobel laureate economist Douglass North and his co-authors identified this dynamic as one of the “doorstep conditions” for an open political order.

The second route to improved governance is incrementalism, embodied by the gradual reform efforts of countries like Jamaica and Moldova, where progress on one front creates the political capital to tackle the next. Albert Hirschman described this as the logic of “linkages” and “possibilism.”

External institutional anchors, such as the EU’s accession process, can reinforce this process. In either case, durable progress depends less on a single election than on years of often unglamorous institution-building.

The two paths differ in form but seek the same balance between state capacity and democratic accountability—the “narrow corridor” described by the Nobel laureates Daron Acemoglu and James A. Robinson. Good governance exists between despotism and disorder. It requires both a state capable of governing and a society strong enough to hold it accountable. As the BGI shows, countries move into (and along) that corridor through grand bargains or incremental reform. They can also fall out of it.

Recent developments in Budapest and Beijing have brought both paths into sharp relief. Hungary’s democratic renewal suggests that even severely weakened accountability mechanisms can be revitalized when citizens demand stronger checks on executive power.

The Trump-Xi summit—and America’s willingness to accommodate authoritarian regimes like Russia and the Gulf countries—highlights the enduring appeal of the autocratic model. Although the governance performance of authoritarian regimes varies widely, some have delivered rapid gains in quality of life, at least for a time.

The future of governance is therefore unlikely to be shaped by a wave of democratic resurgence, an authoritarian triumph, or a single geopolitical turning point on the scale of the fall of the Berlin Wall. The four governance worlds identified by the BGI have proved remarkably durable, and the gaps between them are more likely to widen than to narrow as the challenges of the 21st century intensify.

Moreover, the political conditions that make such progress possible are not evenly distributed. Nor are the economic, geopolitical, and environmental pressures that governments around the world must confront. But the BGI makes clear that progress remains possible in almost every setting, and Brazil and Hungary remind us that institutional decline need not be permanent.

What is certain is that the decisive political struggles of the coming century will not be decided by dramatic geopolitical breakthroughs. Instead, they will be won or lost through the incremental choices that determine whether countries strengthen democratic accountability and state capacity or succumb to institutional decay and autocratic temptation.

21. The Ceuta Crisis Is About More Than Migration

Author: Moha Ennaji **Published:** Aug 7, 2026 **Link:** View Original

FEZ—The sight of 72,000 people rushing into the Spanish enclave of Ceuta from neighboring Morocco was a blunt reminder that one of the European Union's most sensitive land borders is in North Africa.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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The status of Ceuta and Melilla, another Spanish enclave within Morocco, has been a simmering political dispute between the Moroccan and Spanish governments for many decades. Morocco claims sovereignty over these cities, whereas Spain maintains that they are as much a part of its national territory as Madrid. For centuries, the Muslim dynasties that ruled the western Maghreb and al-Andalus controlled Ceuta, until King John I of Portugal captured it in 1415—a precursor to European expansion overseas. When the Portuguese monarchy came under the control of the Spanish Habsburgs in 1580, so, too, did Ceuta. Following the restoration of Portuguese independence in 1640, the city remained loyal to the Spanish monarchy.

As the great French historian Fernand Braudel observed, the Mediterranean should be understood as a historically interconnected theater, shaped by migratory, commercial, cultural, and political exchanges that long predate the modern nation-state. From this perspective, the Strait of Gibraltar is not merely a border but a liminal zone between two shores of the same sea that have long been in close, if often conflictual, contact.

To support its sovereignty claim, Morocco points to precolonial history and the continuity of the Moroccan Sultan's authority over extensive territories in the western Maghreb. Moroccan historians, notably Abdallah Laroui, have also emphasized the need to avoid mechanically applying the territorial categories of the contemporary nation-state to precolonial societies.

The modern European conception of the border as a precisely demarcated, legally recognized line does not always correspond to the forms of sovereignty that prevailed in the Maghreb before colonization. The Sultan's authority was exercised to varying degrees through relations of allegiance, taxation, religion, and political affiliation, without necessarily taking the form of uniform administrative control. It is within this context that Morocco's claims concerning Ceuta, Melilla, and other Spanish territories on the North African coast should be examined.

Following Moroccan independence in 1956, the question of colonial-era borders became a topic of national debate. Moroccan nationalists, particularly Sultan Mohamed V, advocated the recovery of territories considered to have been detached from Morocco during the colonial period. This policy unfolded amid a broader push for decolonization, resulting in Spain relinquishing Tarfaya in 1958 and Sidi Ifni in 1969.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

Yet Ceuta and Melilla remained under Spanish control, with these former colonial territories eventually becoming part of the EU's external border. EU efforts to clamp down on migration in recent years have thus transformed these cities, imbuing them with a strategic importance comparable to their historical and military significance.

This change helps explain the paradoxical nature of the Morocco-Spain relationship. Despite strong economic and trade relations and close cooperation on security and migration, the territorial dispute remains a source of conflict. In a study of Morocco's claims to Spanish territories in Africa, the University of Cambridge's Jamie Trinidad emphasizes that the legal arguments vary for each territory, meaning that Ceuta, Melilla, the Chafarinas Islands, and the islet of Perejil are not analogous cases.

But that does not mean a resolution is out of reach. Consider Gibraltar, which is frequently invoked in Moroccan political discourse. The process of determining Gibraltar's status after Brexit, which required close cooperation between the United Kingdom, the EU, and Spain, demonstrates that a longstanding territorial dispute can end in joint management, even when fundamental positions on sovereignty remain divergent.

This experience offers a lesson for Morocco: even longstanding territorial disputes can invite cooperation. They can be eased through gradual negotiations, confidence-building measures, and other mechanisms that divorce, at least temporarily, questions of sovereignty from the practical necessities of everyday life.

To take such an approach in Ceuta and Melilla would require Europe to recognize that the militarization of borders alone cannot solve the migration issue. They can still be used to exert diplomatic pressure, as recent events have shown. Migration cooperation between Morocco and Spain should therefore be part of a broader strategy focused on economic development, legal mobility, the fight against criminal networks, and the protection of fundamental rights.

The future of Ceuta and Melilla should be viewed through the lens of Euro-Mediterranean relations—as sites of dialogue, exchange, and cooperation between Africa and Europe, not just fortified borders. Morocco and Spain are fated to coexist. Their geographical proximity, economic and human relations, and shared security interests require a relationship built on trust and mutual respect.

Resolving this territorial dispute won't be easy, as each country has longstanding claims to the two cities. But the time has come to seek a new path based on negotiation, not confrontation. This would not only mark a new chapter in bilateral relations, but also benefit the wider Mediterranean region.

22. The Rising Price of a Cheap Renminbi

Author: Gene Frieda **Published:** Aug 7, 2026 **Link:** View Original

LONDON—China's undervalued exchange rate is often read as a symptom of the imbalance that underlies its surpluses. This is the wrong metaphor. The exchange rate is better understood as a price: by suppressing the renminbi's value, the Chinese government not only obscures the underlying imbalance, but also disables the main mechanism for correcting it. The result is a deliberate policy of self-harm.

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By the International Monetary Fund's assessment, China's real exchange rate fell by 14% in 2021–25, while the country's officially reported current-account surplus rose to 3.8% of GDP. China's exchange-rate management is not just about keeping the currency at a particular level; it also offers exporters an implicit volatility guarantee. With most exports still invoiced in dollars, a tightly controlled renminbi-dollar exchange rate reduces uncertainty over domestic-currency revenues. Competitors can hedge, but at a cost; Chinese manufacturers receive much of their insurance from the state.

The reasoning behind this policy lies in the framework within which it is devised, which does not aim primarily to maximize welfare or even growth. Instead, President Xi Jinping's government has, since 2012, pursued a "security-first" model, which emphasizes resilience alongside growth. Policymakers must plan for sanctions, while accounting for Xi's ambition to secure control over Taiwan.

As Harvard's Gita Gopinath, Pierre-Olivier Gourinchas of the University of California, Berkeley, and the London Business School's Hélène Rey recently noted, the "disease" underlying China's surpluses is a policy mix that produces too much saving, including by suppressing household consumption. But the cure is not a mystery: IMF staff estimate that stronger social spending and reform of the hukou household-registration system could lift consumption by as much as 3% of GDP.

The barrier to progress is not policy design; it is policy preference. For those who are concerned about the global imbalances China's surpluses create, the question is how to make the costs of this preference untenable. To treat the exchange rate as a mere symptom, as Gopinath, Gourinchas, and Rey advocate, would be to fail to recognize the power of prices to change behavior.

Gopinath, Gourinchas, and Rey are right that a currency's role in trade invoicing and global finance is endogenous. Excess saving from underconsumption and overinvestment generates appreciation pressure, which is absorbed through capital controls and state-asset accumulation. But an endogenous variable can still be an instrument: by resisting appreciation, China's government stops the real rate from correcting the imbalance and reinforces the profitability of the sector that produced it, thereby entrenching the distortions behind the surplus.

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The costs end up on balance sheets—and they are mounting. The IMF estimates that China's broad, augmented public-sector debt reached approximately 127% of GDP in 2025, while official data indicate that commercial bank net interest margins have compressed for six straight years, from 2.2% in 2019 to a record-low 1.4% last year. China is not running out of money, but it is running out of painless ways to deploy it. A weak, stable renminbi preserves exporters' cash flows, sustains employment and tax revenue, and defers loss recognition across these balance sheets. It does not repair the financial system, but it does buy time.

Renminbi appreciation would not, on its own, rebalance the economy. But by increasing households' purchasing power over imports and compressing tradable-sector margins, it would raise the cost of avoiding reform. Dollar invoicing reinforces both channels: the prices in renminbi of dollar-priced imports fall roughly one-for-one as the renminbi's value rises, while sticky foreign-currency export prices push the adjustment onto exporters' domestic revenues.

To be sure, as Gopinath, Gourinchas, and Rey note, the initial effects of renminbi appreciation would be deflationary and, given the prevalence of dollar invoicing, the impact on export prices would be delayed. Absent a change in the savings-investment balance, a forced appreciation could be matched by falling prices, returning the real exchange rate and the surplus to levels near where they began.

But that reversion is not neutral: the deflation that reverses the appreciation is the same deflation that compounds the real debt burden across public and private balance sheets. China can hold the real rate down only through a debt-deflation dynamic, the effects of which it cannot absorb indefinitely. At some point, it will have to choose between a deepening slowdown and the reflation it has resisted.

The G7 can accelerate this process. As Brad W. Setser, a former deputy assistant US treasury secretary, and Shahin Vallée of the German Council on Foreign Relations, have observed, resistance to currency appreciation forces China and other Asian surplus economies to accumulate reserves, yet the scale and liquidity of those assets make diversification away from G7 currencies extraordinarily difficult. This is an underappreciated source of G7 leverage, and in their view, the group should make use of it by issuing a joint, conditional tariff threat on Chinese exports.

To understand the scale of the appreciation pressure China faces, consider the amount of currency state institutions absorb: Setser estimates that forward-adjusted foreign-exchange intervention purchases reached $320 billion in 2025. This is why Setser and Vallée's proposal makes sense. The tariff would offset the price advantage created by an undervalued renminbi just as the cost of replacing that subsidy is rising, making reflation the least costly way of upholding the same model.

Crucially, the tariff threat must be conditional and reversible, with reflation being framed as China's own choice, not capitulation. The conditionality is the face-saving off-ramp.

China's imbalances create the surpluses, and exchange-rate management enables the country to externalize the adjustment. This makes fiscal excess easier to sustain in deficit economies, particularly the United States, whose deficits attract the foreign savings that official demand helps sustain. While currency adjustment is no substitute for structural reform, under present conditions, reform is unlikely without it.

23. Will Iceland Rejoin the EU Path?

Author: Carl Bildt **Published:** Aug 7, 2026 **Link:** View Original

STOCKHOLM—In a volatile world, solitude is rarely comforting. That is the simple explanation behind Iceland's August 29 referendum on whether to reopen its abandoned membership negotiations with the European Union. (Any final accession agreement would require a separate vote, after negotiations have been concluded.)

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With around 400,000 citizens, a key position in the North Atlantic, and an economy highly integrated with the outside world, Iceland obviously is sensitive to how conditions for its development—and, more importantly, its security—are changing. When the country applied for EU membership in 2009, it had only recently emerged from the near-death experience of the 2008 financial crash, which had triggered an economic collapse. Many in Iceland then felt that tying the country's currency and economy to the Union was the safest bet.

After a positive assessment of the country by the European Commission, accession talks began in 2010 and progressed rapidly until 2013. Of the 33 negotiating chapters, 27 had been opened, and 11 had even been closed, although key issues such as fisheries control were still pending.

But the new Icelandic government that was elected in 2013 broke off negotiations. The general feeling among policymakers was that the economy's recovery from the 2008 implosion had been smoother than expected. Iceland, many came to believe, could stand on its own feet.

Since then, Iceland's economy has performed well, driven not least by a booming tourism sector. Moreover, it has benefited significantly from being part of the EU's single market through the European Economic Area (EEA) agreement, to which Norway and Liechtenstein are also parties. But uncertainty about Iceland's volatile currency has kept interest rates—and thus many other costs—comparatively high.

Perhaps more importantly, with geopolitical and geoeconomic tensions rising, many are starting to worry that Iceland's position outside the EU has become a vulnerability. That is why Prime Minister Kristrún Frostadóttir's government has sought a mandate to reopen accession talks and explore the option of membership.

For historical reasons, sovereignty figures heavily in Icelandic debates about joining the bloc. But with the country already in an economic satellite relationship with the EU through the EEA agreement, full membership would only strengthen its sovereignty by allowing it to shape decisions that it is already required to implement.

Fisheries policy would be a core and sensitive part of any membership talks. But with the United Kingdom no longer an EU member, and with Iceland's economic zone not bordering any other member state's zone, there seems to be room for compromise. Given that Sweden and Finland have already secured special arrangements on agriculture in northern regions, it should be possible for Iceland to receive similarly favorable treatment.

Despite these long-standing concerns, broader security priorities are increasingly shaping the conversation. Iceland is a member of NATO but without a military of its own. During the Cold War, the United States operated the enormously important Keflavík airbase in the country, but left suddenly and unceremoniously in 2006. Now, European air forces mainly rotate their fighters to Keflavík to help with North Atlantic surveillance.

No one can predict what US President Donald Trump will do about neighboring Greenland, which he continues to covet. But his administration's volatile and unpredictable security policies have undoubtedly made Iceland more vulnerable. In January, Trump's pick for US ambassador to Iceland, apparently inspired by the president's territorial ambitions, joked that the country should become the 52nd state, before rapidly backtracking. (It's worth noting that the EU was prepared to stand up for Greenland.)

Moreover, in the current era of trade wars, being outside the EU's customs union also leaves Iceland exposed. Large economies like the EU and China can retaliate against the Trump administration's whims, but smaller ones lack leverage.

If Iceland votes to reopen accession talks, progress would most likely be swift, with a final decision on membership probably within two years. There is no reason to think that the EU—particularly the Nordic and Baltic member states—would not welcome Iceland into the fold. And Iceland joining the EU would probably force Norway to reconsider its position outside the bloc. An EEA agreement with only Liechtenstein means little in this climate.

But these are all possible issues for the future. For now, the question is whether Icelandic voters will decide to set the process in motion.

24. Who Should Build the Low-Carbon Economy?

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BRASÍLIA—Suppose the global economy comprised countries roughly equally equipped with research institutions, technology development labs, and industrial production facilities. They might compete fiercely, build rival alliances, and vie aggressively for raw materials and natural resources. But one can also imagine a more optimistic scenario. Since each country would understand its own challenges best, it could devise solutions adapted to its own circumstances, building systems and equipment at precisely the scale required. And where competences complement one another, governments could engage in mutually beneficial collaborations, mobilizing scientists, technology, and manufacturing toward common goals.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

Unfortunately, humankind has tended in the opposite direction. Since the first Industrial Revolution and the emergence of a truly global economy around the turn of the

19th century, goods and technologies have reached the farthest corners of the world, but the ability to design, build, market, and extract value from them has remained highly concentrated.

By the mid-1800s, steam locomotives were already operational in almost 60 countries or colonies, yet only Britain, the United States, and certain German states were fully capable of supplying them. Telegraphic lines followed a similarly uneven pattern, as did the auto industry, which emerged at the turn of the 20th century and became emblematic of globalization in the post-World War II era with the internationalization of manufacturing capabilities, especially in large developing countries in Asia and Latin America. But only two of these economies, Japan and South Korea, managed to join the exclusive club of so-called original equipment manufacturers.

With the end of the Cold War, the information-technology industry took this model—under the banner of “Designed in California, assembled in China”—to the next level, drawing a clear line between knowledge-intensive, well-remunerated activities and labor-intensive, low-paid operational ones.

Nonetheless, with the rise and spread of the clean-energy industry and other climate technologies, many thought that history could be written differently. When China started to gain global market share in the production of solar panels and wind turbines, some analysts suggested that “green windows of opportunity” could emerge across the rest of the developing world. Having successfully learned the inner workings of the new technologies through joint ventures and licensing agreements with advanced-economy providers, China seemed to have found a blueprint that others could follow.

But the geographical diversification of technological innovation has remained more of a dream than a reality. The International Energy Agency finds that while clean-energy technologies are spreading fast, with solar capacity having increased tenfold since 2015, manufacturing capabilities remain highly concentrated. Across most clean-energy supply chains, 60-85% of production capacity is concentrated in no more than five countries, with some individual segments exceeding 95%. Despite mounting efforts to diversify production, no major shift in these supply chains' geography is likely before 2030.

Worse, this trend is no longer confined to mature technologies such as solar panels, wind turbines, and batteries. Emerging sectors such as electrolyzers for low-emissions hydrogen and small modular reactors are already exhibiting similar dynamics. Data collected by the OECD show that about 92% of the patents for new environment- and climate change-related technologies in 2023 stemmed from China, Japan, South Korea, the United States, and the European Union. Rather than ushering in a more distributed industrial and technological landscape, the transition to a low-carbon economy appears to be reproducing a familiar historical pattern: adoption is global, but the knowledge, productive capacity, and value creation remain clustered in a remarkably small number of countries.

Closing this gap will not be easy. The Economic Commission for Latin America and the Caribbean argues that a "big push" will be necessary to mobilize the coordinated investments capable of transforming productive structures and building domestic technological and innovation capabilities in left-behind countries and regions.

Multilateral climate institutions are also fully aware of this challenge. Last year, parties to the Paris agreement, meeting under the UN Framework Convention on Climate Change, adopted the Belém Technology Implementation Programme, which aims to ensure that environmentally sound technologies are deployed in developing countries.

One pioneering feature of this program is that it frames domestic innovation as a must, rather than deeming the transfer of off-the-shelf technologies sufficient. It recognizes that locally conceived, developed, and produced technologies are the most suitable for addressing context-specific challenges and unlocking economic value.

To be sure, technology transfer remains a cornerstone; but it should take place within a framework that accounts for the whole technological cycle. This means recognizing that transfers can take place across multiple stages of the innovation process (from research and design to demonstration, deployment, and commercialization), rather than being confined to the diffusion of fully mature solutions. Such a change should expand opportunities for learning, adaptation, and innovation in recipient countries.

Implementation of the Belém program will face several obstacles, from geopolitical tensions and trade barriers to the diversion of financial resources toward security and defense. But we must not lose sight of the additional value that could be unlocked with a new approach. In developing his concept of "cosmotechnics," the Chinese philosopher Yuk Hui reminds us that technologies are not universal. They carry the worldview and values of the places where they were conceived. To counter the legacy of colonialism, current inequality, and the ills associated with the industrial age, humanity must decisively embrace "technodiversity."

A serious response to climate change requires more than deploying homogeneous clean technologies at scale. It calls for expanding the world's capacity to understand problems, generate solutions, and build the systems needed to address them. The success of the low-carbon transition should not be measured only by the speed at which technologies spread, but also by how widely the capabilities to innovate, adapt, and produce them are distributed. In the end, a safer climate will depend both on decarbonizing the global economy and on democratizing the technological foundations that make such transformation possible.

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